

Ford Motor Co. v. Montana Eighth Judicial District Court

Citation

Ford Motor Co. v. Montana Eighth Judicial District Court, 592 U.S. 351, 141 S. Ct. 1017 (2021), consolidated with *Ford Motor Co. v. Bandemer*, Nos. 19-368 and 19-369. The United States Supreme Court heard argument on October 7, 2020, and decided the cases on March 25, 2021. Justice Kagan wrote the five-Justice majority opinion, joined by Chief Justice Roberts and Justices Breyer, Sotomayor, and Kavanaugh. Justice Alito concurred in the judgment. Justice Gorsuch also concurred in the judgment, joined by Justice Thomas. All eight participating Justices agreed that jurisdiction was proper; Justice Barrett did not participate. Kagan's opinion supplies the controlling rationale. The concurrences identify disagreements about that rationale, and there was no dissent from the Supreme Court's judgment.

Full judicial opinions. Pinpoints to the majority and concurrences refer to their separately numbered slip-opinion pages.

Parties

Ford Motor Company was the defendant in both underlying damages actions and the petitioner in both Supreme Court proceedings. It was incorporated in Delaware and headquartered in Michigan. In Montana, Charles Lucero, the personal representative of Markkaya Gullett's estate, brought the underlying action on behalf of Gullett and her heirs. In Minnesota, Adam Bandemer was the injured plaintiff and the respondent opposing Ford's jurisdictional challenge. Bandemer also sued Eric Hanson, the driver, and Hanson's father, who owned the vehicle, for negligence. Their alleged responsibility was separate from the defect claims against Ford. *Majority, slip op. at 2-3; Montana opinion ¶ 2; Bandemer, 931 N.W.2d 744, 747-48 (Minn. 2019).*

The Montana trial court appears in the Supreme Court caption because Ford had sought supervisory control over that court's exercise of jurisdiction. The underlying tort action was *Lucero v. Ford Motor Co.*; the jurisdictional proceeding challenged the Montana Eighth Judicial District Court's authority to continue hearing it. The caption therefore reflects the route of review. Ford was seeking dismissal of Lucero's claims against it, and the trial court was the object of the requested supervisory relief. *Montana opinion ¶¶ 3-7; majority, slip op. at 3 n.1.*

Material Facts

In 2015, Montana resident Markkaya Gullett was driving a 1996 Ford Explorer on a Montana interstate near her home. A rear tire experienced tread separation. The Explorer lost stability, rolled into a ditch, and came to rest upside down; Gullett died at the scene. Lucero alleged strict liability for a design defect, strict liability for failure to warn, and negligence, and sought compensatory and punitive damages. The jurisdictional decision treated the claimed defect and Ford's responsibility as allegations. It did not establish why the tire failed or adjudicate the merits of the Explorer's design. *Montana opinion ¶ 2; majority, slip op. at 2.*

Ford designed the Explorer in Michigan, assembled it in Kentucky, and initially sold it to a dealer in Washington. More than ten years later, the vehicle was resold and registered in Montana. Its eventual presence in Montana followed later consumer transactions and relocation, rather than Ford's original sale of that particular Explorer into Montana. The place of initial sale supplied the factual basis for Ford's argument that its own Montana business had not generated this claim. *Montana opinion* ¶ 2; *majority, slip op. at 3*.

In January 2015, Minnesota resident Adam Bandemer rode as a passenger in a 1994 Ford Crown Victoria driven by his friend Eric Hanson on a rural Minnesota road. They were traveling to an ice-fishing location when Hanson rear-ended a county snowplow and the car went into a ditch. Bandemer alleged that the passenger-side airbag failed to deploy and that he suffered severe brain injury as a result. Minnesota officers responded, and Minnesota physicians treated him. His complaint asserted products-liability, negligence, and breach-of-warranty claims against Ford and negligence claims against Hanson and Hanson's father. The complaint attributed the collision to Hanson's negligence and the airbag's failure to a defect. These were distinct alleged causes of the accident and resulting injury. *Bandemer, 931 N.W.2d at 747-48; majority, slip op. at 2-3*.

Ford designed the Crown Victoria in Michigan, manufactured it in Canada, and originally sold the particular vehicle in North Dakota. Later transactions brought it into Minnesota, where it was registered. Thus, as in Montana, the state of the accident was also the injured person's home, but differed from the places where Ford had designed, manufactured, and initially sold the individual car. Bandemer's status as a passenger also shows why a jurisdictional rule framed around the injured person's own purchase would fit the underlying litigation poorly. *Majority, slip op. at 3; Bandemer, 931 N.W.2d at 754*.

Ford deliberately and repeatedly served both states' automobile markets. It advertised through television, radio, billboards, print media, and direct mail, including promotion of Explorers and Crown Victorias at the relevant times. Those models were available through its dealership network, which included 36 dealerships in Montana and 84 in Minnesota. Minnesota's record included sales of more than 2,000 model-year 1994 Crown Victorias and approximately 200,000 vehicles of all types during 2013-2015. The Supreme Court relied on the substantial business Ford conducted in each particular forum. Its national size supplied context, while its state-specific conduct supplied the relevant contacts. *Majority, slip op. at 3-4, 11-12; Bandemer, 931 N.W.2d at 748, 751*.

Ford's relationship with those markets continued after a vehicle's first sale. Its dealers sold used Fords, maintained and repaired vehicles after their warranties expired, and supplied continuing services to owners. Ford distributed replacement parts to both authorized dealers and independent repair shops. These activities made long-term ownership practical and supported the resale market through which the older vehicles could reach local residents. Ford earned money from those activities and encouraged residents to continue driving its vehicles. Minnesota's court also considered Ford's collection of vehicle-performance information through local dealerships for design and repair purposes. The Supreme Court's own explanation centered on advertising, sales, service, parts, and the resulting market for the relevant models. *Majority, slip op. at 2, 11-14; Bandemer, 931 N.W.2d at 751, 754*.

Procedural History

Lucero filed the action in Montana's Eighth Judicial District Court, Cascade County, No. DV-18-247. Ford moved to dismiss for lack of personal jurisdiction, arguing that its Montana contacts lacked the necessary connection to Lucero's claims. The district court rejected the objection. Ford then petitioned the Montana Supreme Court to exercise supervisory control, overturn the jurisdictional ruling, and direct dismissal. This was review of a threshold ruling while the tort litigation remained pending. *Montana opinion* ¶¶ 2-4; *majority, slip op. at 3 n.1*.

The Montana Supreme Court accepted supervisory control under its state constitutional authority and Montana Rule of Appellate Procedure 14(3). It described supervisory control as an extraordinary remedy and concluded that ordinary appellate review was inadequate because of the urgency of deciding the trial court's power over the parties. The petition presented a purely legal question of statewide constitutional importance concerning Ford's due-process rights. The court reviewed the personal-jurisdiction ruling de novo, meaning that it independently decided the legal issue rather than deferring to the district court's legal conclusion. Accepting the petition gave Ford immediate review; it did not mean that Ford was entitled to dismissal. *Montana opinion* ¶¶ 5-7.

On May 21, 2019, the Montana Supreme Court upheld jurisdiction. It first found authorization under Montana Rule of Civil Procedure 4(b)(1)(B), which covers claims arising from an act resulting in the accrual of a tort action within Montana. The alleged misconduct had resulted in an accident and injury there. It then separately addressed federal due process and concluded that Ford deliberately served Montana's market and that the local accident sufficiently related to those activities. Its published decision is *Ford Motor Co. v. Montana Eighth Judicial District Court*, 2019 MT 115, 395 Mont. 478, 443 P.3d 407. *Montana opinion* ¶¶ 7-12; *majority, slip op. at 3-4*.

Bandemer filed his action in Minnesota's Seventh Judicial District Court, Todd County, No. 77-cv-16-1025. Ford moved to dismiss under Minnesota Rule of Civil Procedure 12.02(b), which permits an objection to personal jurisdiction. The district court denied the motion. Ford appealed, and the Minnesota Court of Appeals affirmed in *Bandemer v. Ford Motor Co.*, 913 N.W.2d 710 (Minn. Ct. App. 2018). Applying Minnesota precedent, that court found Ford's directed advertising and marketing sufficiently related to the claims. Ford then obtained review by the Minnesota Supreme Court. *Majority, slip op. at 3 n.1; Bandemer*, 931 N.W.2d at 747-49.

On July 31, 2019, the Minnesota Supreme Court affirmed. It reviewed personal jurisdiction as a question of law de novo. Under the state's approach at the motion-to-dismiss stage, Bandemer had to make a prima facie showing of jurisdiction: allegations and supporting materials sufficient to establish jurisdiction if accepted. The court accepted the complaint's allegations and supporting affidavits as true under the applicable standard and discussed Ford's discovery responses when evaluating the claimed contacts. Its footnote concerning vehicle-performance data explains that an allegation remained accepted unless Ford's discovery response directly contradicted it. This procedural treatment of allegations supported the jurisdictional inquiry; it did not establish a defect or entitlement to damages at trial. *Bandemer*, 931 N.W.2d at 749, 751 n.3.

Minnesota's long-arm statute extended jurisdiction to the limits of federal due process, so the constitutional inquiry governed. Ford conceded the quantity and quality of its Minnesota contacts and the reasonableness of litigating there; it contested the connection between those contacts and Bandemer's claims. The court found that Ford's sales of the relevant model, marketing, and collection of performance information were sufficiently connected to the alleged defect and local accident. Justice Anderson dissented, joined by Chief Justice Gildea, because he considered Ford's Minnesota activities unrelated to this particular vehicle and claim. Bandemer also advanced a consent theory based on Ford's registered agent. Both Minnesota appellate courts left that alternative undecided because specific jurisdiction resolved the dispute. *Bandemer*, 931 N.W.2d at 748-55 & n.1; *id.* at 755 (Anderson, J., dissenting).

Ford petitioned for certiorari from both state supreme court judgments. The Supreme Court granted review and consolidated the cases, then affirmed on March 25, 2021. The Court reviewed a federal constitutional limit on state adjudicatory authority. These cases reached it through the state courts; they did not begin as federal district court diversity actions. The immediate relief Ford sought was dismissal for lack of personal jurisdiction, which would have required the plaintiffs to pursue Ford in another available forum. *Majority*, *slip op.* at 1-4, 18.

The affirmance preserved the denials of Ford's dismissal motions. The Supreme Court issued no damages award, found no product defect, and imposed no tort liability. Nor did consolidation turn the two separate accidents into a single underlying tort action. It allowed the Court to resolve the common jurisdictional question in one decision while each state's litigation retained its own plaintiff, claims, evidence, and procedural history. *Majority*, *slip op.* at 1-4, 18.

Issue

Does the Fourteenth Amendment permit a state court to exercise specific personal jurisdiction over a manufacturer when the manufacturer extensively markets, sells, and services the relevant vehicle model in the state, and that model allegedly injures a resident in a local accident, although the manufacturer designed, manufactured, and first sold the particular vehicle elsewhere? More specifically, must the plaintiff prove that the manufacturer's conduct in the forum caused the claim, or can a sufficiently close relationship between that conduct and the local controversy satisfy the requirement that the claim arise out of or relate to the defendant's forum contacts? *Majority*, *slip op.* at 1, 7-9.

Rule and Holding

A court first needs authorization under the applicable state jurisdictional law and must then remain within the Fourteenth Amendment's limits. Montana examined those steps separately; Minnesota interpreted its statute to reach the constitutional boundary. *International Shoe Co. v. Washington*, 326 U.S. 310, 316-19 (1945), supplies the constitutional framework: the defendant must have sufficient contacts with the forum for the exercise of jurisdiction to comport with traditional notions of fair play and substantial justice. A state rule authorizing jurisdiction does not by itself resolve that constitutional question. *Montana opinion* ¶¶ 10-12; *Bandemer*, 931 N.W.2d at 749; *majority*, *slip op.* at 4-7.

General jurisdiction permits adjudication of claims regardless of their relationship to the forum. For a corporation, its place of incorporation and principal place of business are the ordinary places where it is at home; exceptional circumstances can establish another home. The parties agreed that Ford was subject to general jurisdiction in Delaware and Michigan and was not at home in Montana or Minnesota. The Court therefore needed to determine whether these particular claims supported specific jurisdiction. Extensive local sales mattered to that inquiry without turning either forum into a place where Ford could be sued on every claim. *Majority, slip op. at 5-6, 9 n.3.*

Specific jurisdiction requires the defendant's own purposeful contact with the state and a sufficient connection between those contacts and the particular claims. Purposeful availment means that the defendant deliberately takes advantage of opportunities to conduct activities in the forum, such as serving its market or undertaking a relationship centered there. A third party's unilateral movement cannot supply the defendant's own conduct. The claims must then "arise out of or relate to" the relevant contacts. Finally, the exercise of jurisdiction must be reasonable in light of the defendant's position and the interests at stake. In Ford, purposeful availment was conceded, so the disputed issue was the required relationship between Ford's admitted local activities and the suits. *Majority, slip op. at 5-9, 14-15.*

Montana and Minnesota could exercise specific personal jurisdiction over Ford in these two products-liability suits. Ford extensively advertised, sold, and serviced the same vehicle models in each state; each accident occurred there and injured a state resident. Those facts sufficiently connected Ford, the forum, and the particular litigation even though Ford had designed, manufactured, and initially sold the individual vehicles elsewhere.

Judgment

The Supreme Court affirmed both state supreme court judgments. Ford's motions to dismiss for lack of personal jurisdiction remained denied, and the underlying damages actions could proceed in Montana and Minnesota. The Court did not determine whether either vehicle was defective, whether Ford caused the injuries, or the amount of damages. Its decision resolved the challenged constitutional basis for jurisdiction, leaving the merits for the trial courts. *Majority, slip op. at 18.*

Reasoning

Ford proposed a causation requirement focused on the individual vehicle. In its account, the state could exercise specific jurisdiction only if Ford's conduct there gave rise to the plaintiff's claim. The relevant places would therefore be the state where Ford initially sold the car, or the places where it designed or manufactured it. Later consumer resales could not transform unrelated advertising and sales of other vehicles into conduct causing these injuries. Ford emphasized that, even if it had never operated in Montana or Minnesota, the particular vehicles could have arrived through the same resale transactions and produced the same claims. It invoked *Bristol-Myers Squibb* and *Walden* to argue that substantial business and the plaintiff's local injury could not replace a connection to the defendant's own conduct. *Majority, slip op. at 3, 7-9, 13, 15-18.*

The plaintiffs defended jurisdiction based on Ford's sustained efforts to develop and support the local market for the very models alleged to be defective. The relevant relationship included Ford's promotion of local ownership, sales of the models, repair and parts networks, and an accident injuring a resident within that market. They opposed making jurisdiction depend on tracing an older car back to Ford's first sale or proving that a particular advertisement induced a particular purchase. Their position treated the local accident as related to Ford's ongoing business in that state. The majority accepted that connection. *Majority, slip op. at 11-15; Bandemer, 931 N.W.2d at 751-54.*

Kagan gave independent significance to both parts of the established phrase "arise out of or relate to." The first part concerns causation. The second permits some relationships to support jurisdiction without proof that the defendant's forum conduct caused the plaintiff's claim. Ford's proposed rule would eliminate that second route by demanding causation in every case. The majority found no basis in its precedents for that universal requirement. It nevertheless insisted that relatedness has real limits: the defendant's activities, the state, and the specific litigation must remain sufficiently connected. *Majority, slip op. at 8-9.*

The distinction concerns jurisdictional causation. It addresses whether Ford's Montana or Minnesota activities must have caused these particular claims to arise. The plaintiffs' substantive claims still required whatever proof of defect, breach, injury, and causal responsibility the governing law demanded. A decision that a forum can adjudicate a negligence or products-liability claim does not establish that Ford caused the collision or enhanced the injuries. This separation follows from the motions the Court reviewed and the limited jurisdictional judgments it affirmed. *Majority, slip op. at 2-4, 8-9, 18.*

The Court connected Ford's activities to the claims at the level of the relevant vehicle models and the market Ford systematically served. Explorers and Crown Victorias were among the products it advertised, sold, serviced, and supported in these states. The suits alleged that those models malfunctioned while being used there and injured local residents. That combination supplied a concrete connection to the controversy. Ford's other business elsewhere, its overall wealth, or the mere existence of some unrelated local enterprise would not describe the relationship on which the Court relied. *Majority, slip op. at 11-12.*

The movement of these individual vehicles through the used-car market was compatible with Ford's own business strategy. Ford encouraged resale, stocked replacement parts, and supported repairs long after the first sale. A purchaser could therefore choose an older Ford bought elsewhere partly because of services and parts available at home. The majority identified that possibility to explain why the litigation fit Ford's local activities, while expressly acknowledging that the plaintiffs had neither alleged nor established such individual causal links. The decision does not rest on a finding that Gullett, Bandemer, or the Crown Victoria's owner actually relied on an advertisement or repair network. *Majority, slip op. at 12-14.*

The Court also rejected requiring proof of the particular reasons for a purchase. Its footnote explains that jurisdiction should remain available on these facts even if a plaintiff recently moved into the forum with a car purchased without the move in mind. Ford's independent, established relationship with the destination state's market remains relevant when the vehicle injures a resident there. That observation preserves the defendant-contact requirement: the move changes where the product is used, while Ford's own market activities supply the purposeful forum contacts. *Majority, slip op. at 14 & n.5.*

World-Wide Volkswagen Corp. v. Woodson, 444 U.S. 286 (1980), involved an automobile sold in New York that later caused an alleged injury in Oklahoma. The regional distributor and retailer challenging jurisdiction had not served Oklahoma's market, so the consumer's trip did not establish jurisdiction over them. That opinion also explained that a manufacturer or distributor deliberately serving a state's market could face suit there when its product caused local injury. Audi and the nationwide Volkswagen importer had not challenged jurisdiction in that litigation. Ford's extensive Montana and Minnesota operations placed it within the manufacturer-and-market situation discussed in *World-Wide Volkswagen*. *Majority, slip op. at 9-11.*

Ford correctly observed that the earlier opinion's discussion of the nonchallenging manufacturers was dictum. Kagan acknowledged that status and explained that later decisions repeatedly endorsed the same principle, including *Keeton*, *Burger King*, *Goodyear*, the O'Connor opinion in *Asahi*, and *Daimler*. Ford applied that principle to actual jurisdictional challenges by the manufacturer. The warning relevant to due process came from Ford's deliberate market activities and the possibility of suits concerning local failures of its vehicles. Mere foreseeability that a movable car might cross a state line would not supply that relationship. *Majority, slip op. at 9-11, 14-15.*

Ford benefited from the states' enforcement of contracts, protection of property, and maintenance of markets in which it sold and supported vehicles. The Court viewed adjudication of related local product injuries as a reciprocal responsibility accompanying those benefits. Ford could anticipate those suits and account for litigation costs through insurance, pricing, or changes to its forum activities. This reasoning connected fairness to Ford's deliberate conduct and the nature of the claims. It did not announce that a defendant's size or ability to afford litigation independently supplies jurisdiction. *Majority, slip op. at 6-7, 10, 14-15.*

Montana and Minnesota had direct interests in providing remedies for injured residents and regulating the safety of products used on their roads. The states of initial sale, Washington and North Dakota, had a more remote connection to these particular disputes: an earlier owner had purchased a car there many years before an accident elsewhere involving other residents. Ford's proposed rule would channel the suits toward those states despite the accident states' substantial interests. The majority used that comparison to support jurisdiction in Montana and Minnesota. It did not hold that the initial-sale states necessarily lacked jurisdiction; the availability of other forums was not the question decided. *Majority, slip op. at 15; Gorsuch concurrence at 3-4.*

For the familiar fairness analysis, these facts support attention to Ford's litigation burden, the forum's regulatory and remedial interests, the plaintiffs' access to relief, and the efficient resolution of a local accident dispute. Minnesota's opinion expressly noted local treatment, the local accident, and two resident codefendants, and recorded Ford's concession on reasonableness. The United States Supreme Court did not resolve a disputed five-factor balance in a separate checklist; it explained fairness and federalism as reasons supporting the jurisdictional connection established by the facts. Convenience alone could not supply missing purposeful contacts or a missing relationship to the claim. *Bandemer*, 931 N.W.2d at 754-55; *majority*, *slip op.* at 6-7, 14-15.

In *Bristol-Myers Squibb Co. v. Superior Court*, 582 U.S. 255 (2017), nonresident plaintiffs sued in California over Plavix prescribed, obtained, used, and alleged to have caused injury elsewhere. The defendant's California sales and the presence of similar claims by Californians did not connect those nonresidents' own claims to California. Ford read that result as making an out-of-state sale fatal to jurisdiction. Kagan instead emphasized the absence of a forum connection to those plaintiffs' particular injuries. Here, the relevant products were used in the forum, the accidents and injuries occurred there, the injured people were residents, and Ford served the local market for those products. *Majority*, *slip op.* at 15-17.

The two decisions consequently require a claim-specific inquiry even when the defendant does substantial business throughout the country. Ford's Montana sales could support the local Explorer suit on these facts without supporting an Ohio resident's suit over a purchase, use, and accident occurring entirely in Ohio. The majority expressly rejected eliminating the connection requirement for nationwide companies. The volume of unrelated local business does not compensate for an absent connection between the forum and the particular controversy. *Majority*, *slip op.* at 9 n.3, 15-17.

In *Walden v. Fiore*, 571 U.S. 277 (2014), a Georgia officer seized money from Nevada residents at an Atlanta airport. Their later experience of the alleged loss in Nevada could not create the officer's own contact with Nevada; he had directed no relevant activity there. Ford, by contrast, conceded extensive purposeful activity in each forum. Once those defendant-created contacts existed, the location of the accident, injury, and injured person's residence helped assess the claims' relationship to them. *Walden* prevents the plaintiff's connections from substituting for the defendant's contacts. It does not make the plaintiff's place of injury irrelevant to determining whether an existing defendant-forum relationship encompasses the suit. *Majority*, *slip op.* at 17-18.

Separate Opinions

Alito agreed that existing precedent plainly allowed these suits. Ford maintained a substantial presence in the states, sold and serviced vehicles there, and supplied parts; residents suffered local injuries involving vehicles purchased within those states through the later market. In his view, *World-Wide Volkswagen* already supplied the answer. He rejected Ford's demand for the strict proof of but-for causation described in its position and agreed with the main thrust of the majority's application. *Alito concurrence* at 1-3.

His objection concerned treating "arise out of" and "relate to" as two discrete grounds for jurisdiction. He thought the Court parsed language from judicial opinions as though it were statutory text. Alito would understand the phrases together through a practical, broad conception of causation. Ford's promotion, sales, parts, and service made it reasonable to infer that vehicles of this brand were on local roads because of Ford's efforts to create and support that market. That rough causal connection was enough without proof tracing an individual purchase to a particular forum act. *Alito concurrence at 3-4.*

Alito worried that an independent category of noncausal relatedness would be difficult to administer. Almost any two matters can be described as related at some level, and the majority's assurance that limits existed did not clearly define them. His approach would preserve a causal idea broad enough to decide Ford while constraining remote claims. The disagreement is therefore substantive: Kagan permitted jurisdiction without a causal showing on these facts, while Alito preferred to explain the same facts as sufficiently causal in a commonsense sense. His concurrence agreed with the judgment but did not narrow the five-Justice majority's holding. *Alito concurrence at 3-4; majority, slip op. at 8-9, 14.*

Gorsuch also accepted jurisdiction over Ford but questioned both the majority's new formulation and the broader structure of the Court's doctrine. He viewed many lower courts as having understood the connection requirement to include at least but-for causation. Replacing that inquiry with terms such as affiliation or relationship left him uncertain about what facts would count and how much connection would suffice. He also thought evidence that local advertising or service availability induced vehicle purchases might establish a causal connection in these cases, making a new verbal formula unnecessary. The majority responded that those individualized causal facts had not been established and should not be required. *Gorsuch concurrence at 1-5; majority, slip op. at 14.*

He used two examples to expose uncertainty. First, he questioned whether the majority's comparison of the initial-sale states with the accident states implied that the former could not hear a suit, even though selling the defective car there might satisfy a causation test. That was his criticism of a possible implication, rather than a holding of the majority. Second, he discussed an individual Maine craftsman who sells a defective duck decoy online to an out-of-state buyer. A sale might directly cause an injury, yet the majority distinguished isolated transactions from Ford's sustained market activity. Gorsuch asked whether the new relatedness formulation would sometimes expand jurisdiction and sometimes restrict it, and where courts should draw the line between those situations. *Gorsuch concurrence at 3-5.*

Gorsuch then examined the history of jurisdiction based on presence and consent, the development of rules for corporations operating across state lines, and *International Shoe's* replacement of much of that framework with minimum contacts. He questioned why individuals can ordinarily be served while physically present in a state and sued there on unrelated claims, while large corporations often receive general jurisdiction protection outside one or two home states despite extensive operations elsewhere. He also asked whether rules devised for companies sending agents and goods into states fit an economy in which a small online seller can reach customers nationwide. These were reasons to reconsider the doctrine through constitutional text and history. They did not produce a replacement test adopted by the Court. *Gorsuch concurrence at 5-10.*

Gorsuch concluded that Ford had deliberately entered these states to conduct business and had identified no constitutional or historical reason to avoid answering these claims there. He left broader doctrinal reconstruction for future litigation. Kagan defended deciding the cases under *International Shoe* and its successors, and expressly rejected a rule allowing every claim against a nationwide corporation wherever it conducts business. The controlling decision therefore retains the distinction between general and specific jurisdiction and the requirement of a connection to the particular litigation. *Gorsuch concurrence at 10-11; majority, slip op. at 7 n.2, 9 n.3.*

Notes

The established result concerns a manufacturer that systematically served the forum's market for the same models that allegedly injured local residents in local accidents. The Court expressly reserved a case in which Ford marketed the model only in a different state or region. It also distinguished isolated or sporadic transactions and reserved the questions posed by internet sales. The decision establishes no minimum number of dealerships, sales, or advertisements, and it does not resolve every question about how narrowly to define the relevant product category. The safe use of the holding is to identify the particular market, the manufacturer's deliberate activities in that market, and the claim's connection to local use and injury. *Majority, slip op. at 11-13 & n.4.*

Plaintiff residence strengthens the factual pattern the Court decided, but Ford does not establish a universal residency requirement for specific jurisdiction. A nonresident injured in the forum would require analysis of that person's particular claim and the defendant's relevant contacts; the majority did not decide that variation. Conversely, moving to the forum after an entirely out-of-state accident would not reproduce Ford's combination of local product use, local malfunction, and local injury. Residence cannot create a missing contact by the defendant. *Majority, slip op. at 12-18.*

The opinion also does not make Montana or Minnesota the exclusive permissible forum, settle the substantive law governing the claims, decide venue, or resolve the registered-agent consent theory. Those questions have their own requirements. The significance of the judgment is that the Fourteenth Amendment permitted these state courts to hear these claims against Ford on the specific-jurisdiction ground actually litigated. *Majority, slip op. at 5-6, 18; Bandemer, 931 N.W.2d at 748 n.1.*

The relationship among these cases depends on the basis of jurisdiction asserted. *Goodyear, Daimler*, and *BNSF* restrict all-purpose jurisdiction based on a corporation's business contacts. *Ford* concerns jurisdiction over particular claims connected to the defendant's forum business. Extensive local business therefore may be insufficient for general jurisdiction while supporting specific jurisdiction over an appropriately related local injury. Consent supplies a separate possible basis; the Minnesota courts did not need to resolve Bandemer's registration-based consent argument.

Minnesota Supreme Court opinion, 931 N.W.2d 744 (2019). The Montana procedural discussion draws on *Ford Motor Co. v. Montana Eighth Judicial District Court*, 2019 MT 115, 443 P.3d 407, especially paragraphs 2-12.

Goodyear Dunlop Tires Operations, S.A. v. Brown

Citation

Goodyear Dunlop Tires Operations, S.A. v. Brown, 564 U.S. 915 (2011). United States Supreme Court, decided June 27, 2011. Justice Ginsburg wrote for a unanimous Court. The Court reviewed a North Carolina Court of Appeals judgment sustaining personal jurisdiction over three foreign subsidiaries in a wrongful-death action.

[Full judicial opinion.](#)

Parties

The plaintiffs were the parents of Julian Brown and Matthew Helms, acting as administrators of their sons' estates. The boys and their parents were North Carolina residents. The defendants included The Goodyear Tire and Rubber Company, an Ohio corporation, and three indirect subsidiaries organized and operating in Luxembourg, Turkey, and France. Only the three foreign subsidiaries contested personal jurisdiction and petitioned for Supreme Court review. The American parent operated in North Carolina and did not challenge the state courts' authority over it. Its participation did not itself establish jurisdiction over each separately incorporated subsidiary.

Material Facts

In April 2004, Julian and Matthew, thirteen-year-old soccer players, died in a bus accident outside Paris while traveling toward the airport. Their parents alleged that a defective tire manufactured at the Turkish subsidiary's plant caused the crash. The claims challenged the tire's design, construction, testing, and inspection. The accident, manufacture of the allegedly defective tire, and the tire's sale occurred outside North Carolina. The particular tire was a type not distributed in that state.

The subsidiaries manufactured tires primarily for European and Asian markets. They had no North Carolina place of business, employees, bank accounts, or registration to do business. They did not design or manufacture tires there, solicit business there, or directly sell or ship tires to North Carolina customers. Some of their other tires nevertheless reached North Carolina through distribution by other Goodyear affiliates. Those shipments comprised a small fraction of the subsidiaries' production: tens of thousands of tires out of tens of millions manufactured during the relevant period. Many were specialized tires obtained by special order. The jurisdictional question concerned what those indirect sales established about the subsidiaries themselves. *564 U.S. at 918-22*.

Procedural History

The parents filed wrongful-death claims in the North Carolina Superior Court for Onslow County. The foreign subsidiaries moved to dismiss for lack of personal jurisdiction. The trial court denied the motions, allowing the claims against them to proceed despite the absence of a connection between their North Carolina tire sales and the accident.

Goodyear (continued)

The North Carolina Court of Appeals affirmed, 199 N.C. App. 50, 681 S.E.2d 382 (2009). It recognized that specific jurisdiction was unavailable because the alleged injury did not arise from or relate to the subsidiaries' North Carolina contacts. It instead found general jurisdiction, reasoning that the subsidiaries had placed tires into an organized distribution system that carried them to North Carolina and had not taken affirmative steps to prevent distribution there. The court also emphasized the state's interest in providing its residents a forum and the difficulty of litigating abroad. These considerations allowed the intermediate court to treat product distribution as support for adjudicating an unrelated foreign accident.

The North Carolina Supreme Court denied discretionary review, 364 N.C. 128, 695 S.E.2d 756 (2010). The United States Supreme Court granted certiorari to review the intermediate appellate judgment. The issue was the constitutionality of general jurisdiction; neither liability for the accident nor damages had been adjudicated. Before the Supreme Court, the parents also urged that all Goodyear entities should be treated as one enterprise. The Court declined to consider that argument because they had not timely raised it below or in their opposition to certiorari. *564 U.S. at 922-23, 930-31.*

Issue

Does a foreign subsidiary become subject to general personal jurisdiction in North Carolina because some tires that it manufactures abroad enter the state through affiliated distribution channels, when the lawsuit concerns a different tire and a fatal accident in France? May contacts potentially relevant to specific jurisdiction support adjudication of any claim against the manufacturer?

Rule and Holding

A state may exercise general, or all-purpose, jurisdiction over a corporation when its affiliations with the state are so continuous and systematic that the corporation is essentially at home there. Specific jurisdiction instead requires an affiliation between the forum and the underlying controversy. The subsidiaries' limited, indirect tire distribution did not make them at home in North Carolina and could not support jurisdiction over these unrelated claims. The Court identified a corporation's place of incorporation and principal place of business as paradigm corporate homes, while using *Perkins* to illustrate sufficiently substantial operations elsewhere. *564 U.S. at 919, 923-29.*

Judgment

The Supreme Court reversed the North Carolina Court of Appeals. North Carolina could not exercise general jurisdiction over the three petitioning subsidiaries on this record. The ruling removed the asserted basis for keeping those subsidiaries in this lawsuit. It did not adjudicate the negligence claims or decide the American parent's liability, and it did not hold that the parents lacked any other forum.

Reasoning

The Court began with the difference between a forum's power over a particular dispute and its power to hear every dispute against a defendant. Product distribution can create a contact relevant to a claim arising from the product's presence or use in the forum. It does not automatically create a corporate home. Treating the circulation of products as sufficient for general jurisdiction would make a substantial manufacturer answerable on any claim wherever its products were sold. That result would erase the more demanding connection required for all-purpose authority.

The North Carolina courts had imported stream-of-commerce reasoning into the wrong jurisdictional inquiry. Whether a defendant directed or expected products to reach a state may matter to specific jurisdiction. Here the plaintiffs had already conceded the missing link between the forum transactions and the accident. Their sons' residence supplied a strong reason for wanting to litigate locally, but it supplied no additional connection between the foreign subsidiaries and North Carolina. A state's interest in its residents could not independently establish the necessary defendant-forum relationship.

The Court compared the subsidiaries with the defendants in *Perkins* and *Helicopteros*. In *Perkins*, the corporation's president actually managed the company's affairs from Ohio while wartime conditions interrupted operations abroad. Ohio functioned as the center of its activities. In *Helicopteros*, substantial purchases and related training visits in Texas did not support general jurisdiction. The subsidiaries' North Carolina contacts were far removed from the management activities in *Perkins* and insufficient even though some actual sales reached the forum.

Finally, jurisdiction had to be assessed over the parties before the Court. The parent company's North Carolina operations did not eliminate the subsidiaries' distinct legal identities. Because the parents' enterprise theory was forfeited, the Court did not decide the circumstances in which corporate separateness might properly be disregarded. The result therefore cannot be read as a categorical ruling that affiliates' contacts can never be attributed to one another; it rejects these subsidiaries' amenability to unrelated suits on the theory actually preserved. 564 U.S. at 927-31.

Separate Opinions

There were no concurrences or dissents. All nine Justices joined Justice Ginsburg's opinion.

Notes

The case's use of "foreign" includes both corporations from another state and corporations from another country. General jurisdiction turns on the corporation's relationship to the particular forum, rather than foreign nationality alone. *Daimler* develops the at-home limitation further, while *Ford* illustrates why a manufacturer may still face specific jurisdiction when its extensive local market activities relate to the models involved in local injuries. The foreign accident here lacked that relationship. The forfeited enterprise argument also shows why preserving an alternative jurisdictional basis in the trial and appellate proceedings matters.

Perkins v. Benguet Consolidated Mining Co.

Citation

Perkins v. Benguet Consolidated Mining Co., 342 U.S. 437 (1952). United States Supreme Court, decided March 3, 1952. Justice Burton delivered the Court's opinion. Justice Black concurred in the result. Justice Minton dissented, joined by Chief Justice Vinson. This is the Benguet decision discussed in *Goodyear* and later general-jurisdiction cases.

[Full judicial opinion.](#)

Parties

Idonah Slade Perkins, the plaintiff and Supreme Court petitioner, claimed rights as a shareholder of Benguet Consolidated Mining Company. The Supreme Court described her as a nonresident of Ohio. Benguet, the defendant and respondent, was a Philippine mining corporation organized as a sociedad anonima. Its president was also its general manager and principal stockholder. His activities in Ohio were the corporate activities on which the jurisdictional question turned.

Material Facts

Benguet owned and operated gold and silver mines in the Philippines. During the Japanese occupation in World War II, mining operations stopped. The company's president returned to his home in Clermont County, Ohio, where he conducted the company's business during the wartime interruption and the period immediately afterward. The company's connection to Ohio involved management of its affairs, rather than sales to customers or purchases of supplies alone.

The president maintained an office in Ohio, kept corporate files there, and carried on company correspondence. He drew and distributed salary checks for himself and two secretaries, maintained substantial corporate bank accounts, used an Ohio bank as a stock-transfer agent, and held directors' meetings. He supervised policies for rehabilitating the Philippine mining properties and directed purchases of machinery and the use of funds necessary for that purpose. Although the mines and the underlying assets remained abroad, Ohio was the place from which this continuing corporate activity was directed. The president was personally served in Ohio while acting there for the corporation; the adequacy of the company's actual notice was not disputed.

Perkins sought approximately \$68,400 in allegedly unpaid dividends in one action and approximately \$2.5 million in damages for an alleged failure to issue 120,000 shares in another. Her claims did not arise from Benguet's Ohio activities. That absence of a claim-forum connection made the extent and nature of the company's Ohio operations decisive. 342 U.S. at 439-40, 447-48.

Procedural History

Perkins brought two actions in the Court of Common Pleas of Clermont County, Ohio. Benguet challenged the court's jurisdiction, and the trial court quashed service in each case. The Ohio Court of Appeals affirmed. The Ohio Supreme Court consolidated the cases and affirmed as well, 155 Ohio St. 116, 98 N.E.2d 33 (1951).

The basis of the Ohio Supreme Court's judgment was important to federal review. Its syllabus stated that the company could not be sued in Ohio on the unrelated claims, but did not clearly establish whether the conclusion rested on Ohio law or on the Federal Constitution. Justice Taft's explanatory opinion understood federal due process to forbid jurisdiction. It was uncertain whether all the judges supporting the judgment agreed with that rationale. If Ohio independently chose not to entertain the actions as a matter of state law, the United States Supreme Court would not require it to do so. If Ohio refused jurisdiction because it believed the Federal Constitution compelled that refusal, the premise was reviewable and incorrect.

The Supreme Court therefore addressed the federal limit while leaving Ohio's own choice of jurisdictional policy for the state courts. Its review did not decide the shareholder claims or resolve whether state law ultimately authorized the suits. The jurisdictional record also presented actual service on the company's president during the very activities supporting jurisdiction, avoiding a separate problem of ineffective or unauthorized notice. *342 U.S. at 440-45.*

Issue

Does the Fourteenth Amendment prevent Ohio from exercising personal jurisdiction over a Philippine corporation on claims unrelated to Ohio when the corporation's president continuously conducts its business from an Ohio office during the suspension of its Philippine operations? If the Constitution permits jurisdiction, must Ohio exercise it?

Rule and Holding

Due process permitted Ohio to entertain these unrelated claims because Benguet's continuous and systematic corporate activities in Ohio were sufficiently substantial. The Constitution did not compel Ohio to provide that forum. The state remained free to permit or withhold jurisdiction under its own law, subject to other applicable constitutional requirements. Later cases treat *Perkins* as an example of general jurisdiction outside the ordinary places of incorporation and principal place of business, because the forum functioned as the corporation's temporary center of operations. *342 U.S. at 445-49.*

Judgment

The Supreme Court vacated the Ohio Supreme Court's judgment and remanded for further proceedings. The state court had to reconsider the cases with the correct understanding that federal due process did not prohibit jurisdiction on these facts. Perkins did not receive a damages judgment or a federal command that the Ohio courts hear her claims. The disposition preserved a possible independent state-law reason for declining jurisdiction.

Reasoning

The Court applied *International Shoe's* focus on the quality and nature of corporate activity. The relevant question was whether the company's connection to Ohio made it fair to require a defense there, even though these claims arose elsewhere. Service on a corporate official could give notice, but notice alone did not establish the substantive authority to adjudicate. Both the official's actual role and the corporation's business in the forum mattered.

The corporate work conducted in Ohio was extensive and central. The president managed corporate correspondence, finances, directors' meetings, compensation, and rehabilitation of the mines. His Ohio office carried on the company's affairs while wartime conditions prevented its normal overseas operations. Those functions gave the corporation a sustained relationship with the state and made this more than the occasional presence of an officer or a series of isolated purchases. The Court therefore found no federal due-process obstacle to a suit unrelated to the Ohio work.

Benguet's lack of an Ohio business license or specially designated statutory service agent did not determine the constitutional question. The company was actually carrying on sufficient business there, and the president's service supplied proper notice. Earlier decisions involving service on public officers without an adequate basis for binding an absent corporation did not control this situation. The Court's reasoning looked to actual corporate activity and notice rather than treating registration as the sole source of adjudicatory authority.

The Court carefully separated a federal permission from a state obligation. The Fourteenth Amendment limits state power; it does not invariably require a state to use every measure of jurisdiction the Constitution would allow. Because the Ohio judgment might have rested on a mistaken view of that limit, vacatur allowed the Ohio courts to decide what their own law required without the mistaken federal premise. This procedural distinction is central to the holding. *342 U.S. at 444-49.*

Separate Opinions

Justice Black concurred in the result without a separate explanation. Justice Minton, joined by Chief Justice Vinson, would have dismissed the writ of certiorari as improvidently granted. He regarded the Ohio Supreme Court's authoritative syllabus as a state-law ground adequate to support the judgment, and considered Justice Taft's federal analysis insufficient to establish that the court itself had rested on federal law. On that view, the Supreme Court's constitutional discussion answered a question that could not change the state judgment. The disagreement concerned the basis for federal appellate review as well as the practical effect of the remand.

Notes

The modern significance of *Perkins* is the unusual nature of the forum's role in the corporation's affairs. It does not mean that every corporation with an office, executive, or bank account in a state is subject to unrelated suits there. *Goodyear* and *Daimler* use it as the exceptional case in which operations outside the ordinary corporate homes are sufficiently central to support all-purpose jurisdiction. Keep the decision's permissive holding separate from its disposition: the Supreme Court removed a supposed federal prohibition and returned the state-law question to Ohio.

Helicopteros Nacionales de Colombia, S.A. v. Hall

Citation

Helicopteros Nacionales de Colombia, S.A. v. Hall, 466 U.S. 408 (1984). United States Supreme Court, decided April 24, 1984. Justice Blackmun wrote for eight Justices. Justice Brennan dissented. The Court reviewed a Texas Supreme Court judgment sustaining jurisdiction after a wrongful-death trial.

[Full judicial opinion.](#)

Parties

Helicopteros Nacionales de Colombia, S.A., usually called Helicol, was a Colombian corporation headquartered in Bogota and engaged in helicopter transportation in South America. It was a defendant below and the Supreme Court petitioner. The respondents were survivors or representatives of four United States citizens killed in a helicopter crash in Peru. The decedents worked for a Peruvian consortium associated with Williams-Sedco-Horn, a joint venture headquartered in Houston. Other defendants included Bell Helicopter and the related consortium or joint-venture entities. The Supreme Court's ruling concerned jurisdiction over Helicol, rather than the liability of every defendant.

Material Facts

On January 26, 1976, a Helicol helicopter crashed in Peru while transporting workers connected to a pipeline project, killing four American passengers. Neither the decedents nor the plaintiffs were domiciled in Texas, although the workers had been hired in Houston. The alleged wrongful deaths arose from the operation of a helicopter abroad.

Helicol's chief executive had made a trip to Houston in 1974 to discuss transportation services with representatives of the consortium. The negotiations concerned matters including prices, fuel, and housing. The resulting contract was executed in Peru, written in Spanish, and provided for disputes in Peruvian courts. Payments to Helicol were drawn on a Houston bank, but were received in accounts in New York or Panama City, Florida. Helicol had not selected the bank on which its customer's checks were drawn.

Between 1970 and 1977, Helicol purchased more than \$4 million in helicopters, parts, and accessories from Bell in Texas. These purchases represented about 80 percent of its helicopter fleet. It sent prospective pilots to Texas for training and to ferry purchased helicopters to South America; maintenance and management personnel also visited for training or consultation. Helicol had no Texas office, employees, operations, bank account, real estate, or regular sales activity. It was not licensed to do business there and had not appointed a Texas agent for service. Its Texas contacts thus consisted principally of purchases, associated visits, one negotiation trip, and its customer's payment arrangements. *466 U.S. at 409-12.*

Procedural History

The plaintiffs brought wrongful-death suits in a Texas state district court in Harris County. Helicol made special appearances and moved to dismiss for lack of personal jurisdiction. The trial court overruled the objections. The cases were consolidated and tried to a jury, which returned a verdict against Helicol totaling \$1,141,200. The procedural posture therefore involved review of a jurisdictional objection preserved before an actual merits judgment.

The Texas Court of Civil Appeals reversed, concluding that Texas lacked personal jurisdiction over Helicol, 616 S.W.2d 247 (1981). The Texas Supreme Court initially affirmed that decision, over three dissents. On rehearing seven months later, it withdrew its earlier opinion and reversed the intermediate appellate court, again with three dissents. The rehearing decision, 638 S.W.2d 870 (Tex. 1982), treated the Texas long-arm statute as reaching as far as federal due process permitted and held Helicol's contacts sufficient for jurisdiction.

The United States Supreme Court granted certiorari. A critical limitation on review came from the parties: both treated the claims as neither arising out of nor relating to Helicol's Texas activities. The Court therefore considered only whether Texas had general jurisdiction over an unrelated controversy. It expressly declined to decide whether “arise out of” and “relate to” describe different connections or whether a sufficiently related claim might support specific jurisdiction. Those issues were not the basis on which the parties had presented the case. *466 U.S. at 412-16 & n.10*.

Issue

Can Texas exercise general personal jurisdiction over a Colombian helicopter operator in wrongful-death actions arising from a Peruvian crash when the company's Texas contacts consist of substantial purchases, related training trips, one negotiation visit, and acceptance of checks drawn on a Texas bank, and the parties treat the claims as unrelated to those contacts?

Rule and Holding

The company's contacts did not constitute the continuous and systematic general business contacts necessary to support jurisdiction over an unrelated cause of action. Purchases from a forum seller, even in substantial amounts and accompanied by training trips, do not alone authorize general jurisdiction. The Court decided this as a general-jurisdiction case because of the parties' concession about relatedness. *Goodyear* and *Daimler* later articulate the general-jurisdiction standard as whether the corporation is essentially at home in the forum. *466 U.S. at 416-18*.

Judgment

The Supreme Court reversed the Texas Supreme Court. Texas could not sustain the judgment against Helicol on the asserted general-jurisdiction basis. The decision did not find the helicopter safe, reject the wrongful-death allegations on their merits, or determine the liability of the other defendants. It held that this Texas court lacked the asserted adjudicatory authority over Helicol.

Reasoning

The Court compared Helicol's activities with the extensive Ohio management operations in *Perkins*. Helicol had no comparable office or corporate center in Texas. The single Houston negotiation trip did not resemble continuing management of its business from the forum. Nor did the place where its customer banked materially establish purposeful corporate activity by Helicol. The customer's unilateral choice of a Texas bank could not be attributed to Helicol as a meaningful jurisdictional contact.

The purchases were substantial, but their commercial importance did not make Texas a forum for all claims against the buyer. Relying on *Rosenberg Bros. & Co. v. Curtis Brown Co.*, the Court reasoned that purchasing goods and sending representatives to the seller's state did not establish the kind of corporate presence needed for an unrelated action. The training visits were connected to the purchases and did not independently transform that relationship. Helicol conducted transportation operations in South America; it did not provide those services in Texas.

The plaintiffs' interest in a common forum for all defendants also did not establish jurisdiction. The Court rejected a suggested necessity rationale because the record did not show that all defendants could not be sued together in Peru or Colombia. It did not decide whether jurisdiction by necessity might ever be constitutionally permissible. The absence of proof was enough to reject its use here.

The distinction between purchasing helicopters and litigating claims connected to a helicopter matters because the majority did not resolve the latter as a specific-jurisdiction question. Its holding cannot be expanded into a conclusion that these same transactions would be legally irrelevant to every possible claim. The parties' concession defined the issue, and the Court confined the controlling ruling to general jurisdiction. *466 U.S. at 415-18 & nn.10, 13.*

Separate Opinions

Justice Brennan dissented. He believed Helicol's Texas dealings, considered together, were sufficiently substantial for jurisdiction. More importantly, he argued that the dispute was sufficiently related to those dealings to permit specific jurisdiction even if it did not technically arise from them. The transportation arrangement was negotiated in Houston; the helicopter involved had been purchased in Texas, and the pilot had trained there. In his view, those links made Texas a fair and foreseeable forum for claims arising from the transportation relationship. He criticized treating relatedness as identical to strict causation and regarded the majority as overlooking the actual relationship between the forum transactions and the accident. *466 U.S. at 418-28.*

Notes

The procedural concession explains why a case with seemingly relevant Texas transactions became a leading restriction on general jurisdiction. Brennan's distinction between claims that arise from and claims that relate to forum contacts anticipates the issue later resolved in *Ford*, but his proposed application in this case was a dissent. *Ford* does not retroactively turn the majority in *Helicopteros* into a specific-jurisdiction decision. The proper comparison is between the different grounds presented and decided in the two cases.

Daimler AG v. Bauman

Citation

Daimler AG v. Bauman, 571 U.S. 117 (2014). United States Supreme Court, decided January 14, 2014. Justice Ginsburg wrote the opinion of the Court, joined by seven other Justices. Justice Sotomayor concurred in the judgment. All nine agreed that the California litigation could not proceed against Daimler on the jurisdictional theory sustained below, but they disagreed about the reason.

[Full judicial opinion.](#)

Parties

Twenty-two Argentinian residents sued DaimlerChrysler Aktiengesellschaft, later known as Daimler AG, a German company headquartered in Stuttgart. They were the plaintiffs below and respondents in the Supreme Court; Daimler was the defendant and petitioner. Plaintiffs sought to hold Daimler responsible for conduct of Mercedes-Benz Argentina, an Argentinian subsidiary. The forum contacts relied upon belonged principally to a different indirect subsidiary, Mercedes-Benz USA, LLC, or MBUSA. MBUSA was organized in Delaware and had its principal place of business in New Jersey. The operative complaint named Daimler as the sole corporate defendant.

Material Facts

Plaintiffs alleged that Mercedes-Benz Argentina collaborated with Argentinian security forces during the 1976-1983 Dirty War to kidnap, detain, torture, or kill workers and their relatives. The relevant conduct, victims, and perpetrators had no California connection. Plaintiffs asserted claims under the Alien Tort Statute, the Torture Victim Protection Act, and California and Argentinian law, including wrongful death and intentional infliction of emotional distress.

MBUSA imported Daimler vehicles from Germany and distributed them to independent American dealerships. It operated several California facilities, including a regional office, a vehicle preparation center, and a classic-car center. Its California sales represented about 2.4 percent of Daimler's worldwide sales. The distributor agreement characterized MBUSA as an independent contractor buying and selling vehicles for its own account and disclaimed authority to bind Daimler. Plaintiffs nevertheless contended that MBUSA acted as Daimler's agent because its distribution work was essential to Daimler's business. Their theory sought to make California a forum for any claim against Daimler, despite the absence of a relationship between California and the alleged abuses in Argentina. *571 U.S. at 120-25*.

Procedural History

Plaintiffs filed in the United States District Court for the Northern District of California in 2004. Daimler moved to dismiss for lack of personal jurisdiction. Plaintiffs presented declarations and exhibits about Daimler's own California connections and alternatively relied on MBUSA's activities. After permitting jurisdictional discovery on the agency theory, the district court dismissed. It found Daimler's own contacts insufficient for general jurisdiction and declined to attribute MBUSA's contacts to Daimler.

Daimler (continued)

A Ninth Circuit panel initially affirmed in 2009, with Judge Reinhardt dissenting. On plaintiffs' petition for rehearing, the panel withdrew that opinion and issued a new decision written by Reinhardt, 644 F.3d 909 (2011). The new opinion treated MBUSA as an agent for jurisdictional purposes because the services it performed were sufficiently important that Daimler would undertake them itself if MBUSA did not. The court also found the exercise of jurisdiction reasonable. Rehearing and rehearing en banc were denied over the dissent of eight judges.

The Supreme Court granted certiorari. Plaintiffs did not pursue specific jurisdiction, did not challenge the insufficiency of Daimler's own contacts, and did not rely on an alter-ego theory. Daimler had not disputed below that MBUSA itself was subject to general jurisdiction in California. The Supreme Court therefore assumed, for purposes of decision, both that MBUSA was at home there and that its contacts could be attributed to Daimler. Those assumptions let the Court resolve the case without definitively deciding the proper agency test or whether MBUSA truly qualified for general jurisdiction under the standard being articulated. Federal Rule 4(k)(1)(A) and California's long-arm provision made the state-law reach, extending to constitutional limits, the relevant jurisdictional framework. *571 U.S. at 124-26, 134-36.*

Issue

May California exercise general jurisdiction over a German parent corporation for alleged misconduct in Argentina merely because an American subsidiary conducts substantial business in California, even assuming that the subsidiary's contacts are attributable to the parent? Is substantial, continuous local business enough to make the parent answerable there on every claim?

Rule and Holding

General jurisdiction ordinarily exists over a corporation in its state of incorporation and principal place of business. Another forum may qualify in an exceptional case when the corporation's operations there are so substantial and of such a nature that it is essentially at home. A substantial volume of business, considered in isolation, is insufficient. Even crediting all MBUSA California contacts to Daimler, Daimler was not at home in California. The relevant assessment considers the corporation's activities in their entirety, nationwide and worldwide. *571 U.S. at 137-39 & nn.19-20.*

Judgment

The Supreme Court reversed the Ninth Circuit. The asserted general-jurisdiction theory could not sustain the action against Daimler in California. The Court did not enter judgment on whether the alleged human-rights abuses occurred or whether Daimler bore substantive responsibility. Its comments on other obstacles to the federal claims did not change the jurisdictional ground of decision.

Reasoning

The Ninth Circuit's agency formulation was too broad. Almost any subsidiary performs work important enough that a parent would need some way to perform it if the subsidiary disappeared. The formulation could attribute the activities of numerous separately incorporated entities to a parent and expose it to general jurisdiction wherever an affiliate operated. The Supreme Court expressed concern about that consequence but did not need to settle every possible attribution theory. Even the assumed attribution failed to show that Daimler was at home in California.

Daimler (continued)

The at-home standard gives all-purpose jurisdiction a more definite scope than a rule allowing suit wherever a corporation carries on a substantial, continuous course of business. Incorporation and principal place of business generally identify readily ascertainable places in which a company can anticipate suit on any claim. They also leave room for an exceptional situation such as *Perkins*, where Ohio functioned as a corporation's temporary center of operations. The Court did not announce an absolute rule that only two states can ever exercise general jurisdiction.

California was a significant market, but the same could be said of many states and countries in which Daimler sold vehicles. Evaluating the company's entire operation showed why these commercial activities did not make California its home. The analysis does not establish a numerical percentage threshold: the character of the operation, including whether it is a corporate center, matters along with its place in the company's overall business. Treating every substantial market as a home would undermine predictability and effectively restore jurisdiction over unrelated claims everywhere a large enterprise operates.

The international setting reinforced the problem. Foreign plaintiffs sought to litigate foreign conduct by foreign entities through a California connection supplied by automobile distribution. Broad jurisdiction of that kind could produce friction with other nations and expose American companies to similarly expansive rules abroad. The Court's constitutional holding nevertheless rested on Daimler's lack of an at-home relationship, rather than a categorical rule excluding foreign plaintiffs or international claims. *571 U.S. at 135-42*.

Separate Opinions

Justice Sotomayor would have assumed the contacts sufficient and rejected jurisdiction as unreasonable given the foreign plaintiffs, German defendant, Argentinian events, and availability of a more appropriate foreign forum. She objected that the Court decided a question not properly developed below and effectively penalized plaintiffs because Daimler had extensive activities elsewhere. In her view, the comparative approach allowed a larger corporation to avoid jurisdiction that similar local activity might support over a smaller company. She also questioned resolving such a fact-sensitive issue after Daimler had conceded the sufficiency of MBUSA's California contacts, limiting development of the record. Her concurrence supports the judgment, not the majority's at-home rationale. *571 U.S. at 142 (Sotomayor, J., concurring in the judgment)*.

Notes

Two assumptions must remain distinct from holdings: the Court assumed MBUSA was subject to general jurisdiction and assumed its contacts were attributable to Daimler. It did not decide either proposition. The decision also concerns jurisdiction based on corporate contacts. *Mallory* later addresses consent under an explicit registration statute as a separate basis, leaving the at-home rule applicable when jurisdiction is asserted over a nonconsenting corporation because of its business operations.

BNSF Railway Co. v. Tyrrell

Citation

BNSF Railway Co. v. Tyrrell, 581 U.S. 402 (2017). United States Supreme Court, decided May 30, 2017. Justice Ginsburg wrote for eight Justices. Justice Sotomayor concurred in the statutory analysis and dissented from the due-process analysis and judgment. The case consolidated two Montana actions under the Federal Employers' Liability Act, or FELA.

[Full judicial opinion.](#)

Parties

BNSF Railway Company was the defendant in both actions and petitioner in the Supreme Court. It was incorporated in Delaware and had its principal place of business in Texas. Robert Nelson, a North Dakota resident, was one plaintiff. Kelli Tyrrell, a South Dakota resident acting as administrator of the estate of Brent Tyrrell, was the other. Both opposed BNSF's effort to obtain dismissal for lack of personal jurisdiction.

Material Facts

Nelson alleged knee injuries sustained during his work for BNSF as a fuel-truck driver. Tyrrell alleged that her husband developed fatal kidney cancer from exposure to carcinogenic chemicals while working for BNSF. Neither plaintiff alleged an injury connected to BNSF's Montana operations, and neither injured employee appeared to have worked for BNSF in Montana. The claims were therefore unrelated to the business contacts relied upon in that state.

BNSF nevertheless had a substantial physical operation in Montana: approximately 2,061 miles of track, about 2,100 employees, and an automotive facility. The railroad operated in twenty-eight states. Montana accounted for roughly 6 percent of its total track, less than 5 percent of its employees, and less than 10 percent of its revenue. Those facts supplied the plaintiffs' argument that BNSF was sufficiently present in Montana. The Court had to determine whether that operating presence authorized all-purpose jurisdiction, given BNSF's incorporation and headquarters elsewhere. *581 U.S. at 405-07*.

Procedural History

Nelson filed his Montana state-court action in March 2011. Tyrrell filed hers in May 2014. BNSF moved to dismiss both actions for lack of personal jurisdiction. The trial court granted the motion in Nelson's case but denied it in Tyrrell's case. The Montana Supreme Court consolidated the ensuing appeals and held that both actions could proceed, reversing the dismissal in Nelson and affirming the denial in Tyrrell. Its decision was reported at 2016 MT 126, 383 Mont. 417, 373 P.3d 1.

The state supreme court offered two grounds. It interpreted 45 U.S.C. §56 as authorizing jurisdiction over a railroad wherever it did business. It also relied on Montana Rule of Civil Procedure 4(b)(1), which authorizes jurisdiction over persons found within the state. The court treated *Daimler* as distinguishable because that case concerned foreign corporations and foreign claims, whereas these cases concerned an American railroad sued under FELA. Justice McKinnon dissented.

BNSF Railway (continued)

The United States Supreme Court granted certiorari to address both the federal statute and the constitutional sufficiency of the Montana contacts. BNSF did not contest that its business satisfied the state rule's "found within" language. That concession established the state-law authorization assumed for decision, but left the federal constitutional objection intact. The employees also advanced consent as an alternative jurisdictional basis. Because the Montana Supreme Court had not addressed that theory, the Supreme Court left it open on remand. The litigation remained at the jurisdictional stage; there had been no trial establishing injury, negligence, or damages. *581 U.S. at 407-09, 415.*

Issue

Does FELA authorize a state court to exercise personal jurisdiction over any railroad doing business in the state? If the statute does not do so, do BNSF's extensive Montana tracks and employees make it subject to general jurisdiction there for employment claims unrelated to Montana?

Rule and Holding

FELA's provision specifying federal districts in which an action may be brought is a venue provision. Its statement that federal and state courts have concurrent jurisdiction addresses subject-matter jurisdiction. Neither provision establishes personal jurisdiction over a railroad in a particular state. Separately, *Daimler's* at-home requirement applies to domestic railroads and FELA claims as well as foreign corporations and other causes of action. BNSF's Montana operations did not make it at home there. *581 U.S. at 409-15.*

Judgment

The Court reversed the Montana Supreme Court and remanded. Neither FELA nor BNSF's Montana business operations supported the grounds for jurisdiction upheld below. The consent theory remained for consideration because it had not been resolved by the state supreme court. The Supreme Court therefore did not order a final rejection of every possible jurisdictional basis or adjudicate the merits of either employee's claim.

Reasoning

The Court separated three legal questions that the Montana opinion had combined. Subject-matter jurisdiction concerns the court's authority to hear the category of dispute; venue identifies a permissible geographic location within the judicial system; personal jurisdiction concerns the court's authority over the particular defendant. Section 56's statement that an action may be brought in certain federal districts uses the language of venue. Its provision for concurrent state and federal jurisdiction ensures that state courts can hear FELA claims as a class. Neither provision supplies authority over every railroad defendant in every state where it does business.

BNSF Railway (continued)

The Court also distinguished earlier railroad cases that had addressed venue, the Commerce Clause, or injunctions restraining parallel litigation. Those decisions did not settle the due-process question presented here. When Congress intends to confer broad personal jurisdiction, it commonly addresses service of process. The FELA language on which the plaintiffs relied lacked such a grant. A federal substantive right to compensation for negligence does not itself identify every court that may adjudicate that right against a given employer.

Turning to due process, the Court applied the same at-home framework used in *Goodyear* and *Daimler*. Delaware and Texas were BNSF's ordinary corporate homes. Montana hosted real and substantial business, but it was one part of a much broader railroad system. The record did not present an exceptional circumstance resembling the relocation of central corporate operations in *Perkins*. A company does not become at home in every state in which it lays track or employs a substantial workforce.

Those same operations could support specific jurisdiction over a claim arising from or relating to activity in Montana. The difficulty here was that these plaintiffs' claims had no such relationship. The Court also rejected the state court's attempt to limit *Daimler* to multinational corporations or particular kinds of claims. Constitutional limits on all-purpose adjudicatory authority do not disappear when the defendant is a domestic railroad or the plaintiff invokes FELA. 581 U.S. at 409-15.

Separate Opinions

Justice Sotomayor agreed that FELA did not confer personal jurisdiction and that the type of claim did not eliminate the constitutional inquiry. She continued to object to *Daimler*'s restrictive conception of corporate homes, particularly its comparison of forum contacts with operations elsewhere. She regarded that approach as giving large multistate companies an advantage despite their substantial enjoyment of a forum's protections. Even accepting the at-home test, she would have returned the case for a fact-intensive assessment under the proper standard rather than having the Supreme Court itself reject exceptional-case jurisdiction. She warned that limiting the exception to facts almost identical to *Perkins* would deprive it of practical meaning. 581 U.S. at 415 (*Sotomayor, J., concurring in part and dissenting in part*).

Notes

The remand matters when reading this case with *Mallory*. *BNSF* rejects general jurisdiction based on the railroad's ordinary business contacts but expressly leaves alleged consent unresolved. *Mallory* later addresses consent under Pennsylvania's express registration scheme. The cases concern separate grounds for authority. A state's permission to hear FELA claims and a railroad's substantial local operations do not, by themselves, answer whether that particular defendant can be sued there on an unrelated claim.

Insurance Corp. of Ireland, Ltd. v. Compagnie des Bauxites de Guinée

Citation

Insurance Corp. of Ireland, Ltd. v. Compagnie des Bauxites de Guinée, 456 U.S. 694 (1982). United States Supreme Court, decided June 1, 1982. Justice White wrote for eight Justices. Justice Powell concurred in the judgment. The Court reviewed whether a district court could deem jurisdictional facts established as a sanction for disobeying discovery orders.

[Full judicial opinion.](#)

Parties

Compagnie des Bauxites de Guinée, or CBG, was the plaintiff and Supreme Court respondent. It was incorporated in Delaware, maintained its principal place of business in Guinea, and operated bauxite mines and processing facilities there. Fourteen foreign excess insurers, including Insurance Corporation of Ireland, were the Supreme Court petitioners. Other insurers had participated below, but four did not contest personal jurisdiction and three obtained dismissal in the court of appeals. The primary insurer, Insurance Company of North America, or INA, did not challenge the district court's personal or subject-matter jurisdiction.

Material Facts

CBG was 49 percent owned by the Republic of Guinea and 51 percent by Halco, which operated in Pennsylvania and provided administrative services including procurement of insurance. Halco instructed its broker to obtain \$20 million in business-interruption coverage for CBG's Guinean operations. INA supplied the first \$10 million. Twenty-one foreign insurers subscribed to portions of the next \$10 million through the London market. The excess insurers adopted INA's policy terms as applicable rather than issuing wholly separate policies.

CBG alleged that mechanical problems interrupted its operations and caused losses exceeding the primary coverage. The insurers refused indemnification. Because the excess insurers disputed personal jurisdiction in Pennsylvania, CBG sought records showing the nature and extent of their Pennsylvania insurance business. The relevant information was largely within the insurers' or their brokers' control. The dispute over those records became the basis for the sanction ultimately reviewed by the Supreme Court. *456 U.S. at 696-99*.

Procedural History

In December 1975, CBG sued in the United States District Court for the Western District of Pennsylvania, invoking diversity jurisdiction. One count concerned INA and another the excess insurers. The excess insurers raised lack of personal jurisdiction in their answer and later included that objection in a motion for summary judgment. They also sought dismissal on forum non conveniens grounds. The jurisdictional objection was therefore preserved; the later loss of the defense resulted from discovery misconduct rather than a failure to raise it initially.

CBG requested insurance-policy records beginning in 1976. The insurers objected that production would be burdensome. After the court overruled the objections, CBG narrowed its request to policies delivered in Pennsylvania or covering Pennsylvania risks. The insurers then said that brokers in London held the relevant documents. In July 1978, the court directed them to request the material from those brokers and allowed ninety days for production. It extended that deadline in November. The insurers offered access in London to roughly four million files rather than producing the information the orders required.

In December 1978, the district judge found that the insurers had made no conscientious effort to comply, allowed another sixty days, and expressly warned that continued noncompliance would result in a finding of personal jurisdiction under Rule 37(b)(2)(A), as then numbered. The judge also allowed them to produce statistics or other information showing the absence of jurisdiction. When they still failed to comply, the court imposed the sanction on April 19, 1979, treating Pennsylvania business contacts sufficient for personal jurisdiction as established. It independently found sufficient contacts on the existing record and inferred submission to jurisdiction from adoption of the Pennsylvania insurance contract. It also enjoined a parallel English action that the excess insurers had recently filed.

The Third Circuit affirmed the jurisdictional ruling as to the noncomplying insurers solely on the sanction ground, 651 F.2d 877 (1981). It reversed as to three insurers that had complied with discovery and whose contacts were insufficient, and it reversed the injunction against the English action. The Supreme Court granted the insurers' cross-petition, limiting review to the validity of the Rule 37 sanction. It distinguished the legal permissibility of such a sanction from whether this particular order was an abuse of discretion. The insurance-coverage merits, injunction, and dismissals of the three complying insurers were not the question accepted for decision. 456 U.S. at 698-701 & nn.1, 5-8.

Issue

May a federal district court treat facts supporting personal jurisdiction as established when defendants disobey discovery orders directed to those facts, even though the defendants are appearing to contest jurisdiction? Did the district court abuse its discretion by imposing that consequence after repeated extensions and explicit warnings?

Rule and Holding

Personal jurisdiction protects an individual liberty interest and may be waived, consented to, or lost through the legal consequences of litigation conduct. Rule 37 may therefore establish jurisdictional facts as a discovery sanction without violating due process. The sanction must be just and specifically related to the claim or issue that the discovery order addressed. Here, treating the withheld jurisdictional facts as established satisfied those requirements, and the district court did not abuse its discretion. The rule is quoted under its numbering at the time of the decision. 456 U.S. at 701-09.

Judgment

The Supreme Court affirmed the Third Circuit on the question before it. The sanction supporting personal jurisdiction over the petitioning insurers remained valid, allowing the coverage litigation against them to proceed. The Court did not award CBG the policy proceeds, affirm the separate injunction issue, or disturb the dismissals of insurers outside the granted question.

Reasoning

The insurers argued that a court lacking personal jurisdiction cannot make orders binding them and therefore cannot acquire jurisdiction by punishing their refusal to obey. The Court rejected that circular account. A defendant who appears to challenge jurisdiction submits that question for adjudication and must comply with lawful procedures for resolving it. Such an appearance does not surrender the objection simply by being made; it commits the defendant to the court's determination of that objection through the applicable process.

The Court distinguished personal from subject-matter jurisdiction. Federal subject-matter jurisdiction rests on constitutional and statutory allocations of judicial authority and cannot be supplied by party agreement or forfeited merely by failing to object. Personal jurisdiction protects a defendant's individual due-process interest. It may be accepted in a contract, waived by failure to raise the defense properly, or established through procedural consequences attached to the defendant's conduct. The existence of federalism concerns did not make the individual protection categorically incapable of waiver.

A jurisdictional sanction also had an evidentiary basis. Under *Hammond Packing*, a refusal to produce relevant evidence may support a presumption that the resisting party's position lacks merit. That differs from stripping a party of a defense solely to punish unrelated misconduct, as in *Hovey v. Elliott*. CBG sought evidence of Pennsylvania contacts; the insurers blocked that evidence; the sanction established those very contacts. The consequence was tailored to the factual issue frustrated by the disobedience.

The record supported the sanction's justice. The court repeatedly extended deadlines, the insurers promised compliance and failed to perform, CBG's jurisdictional allegations were substantial rather than speculative, and the judge gave unmistakable warning of the consequence. The insurers could have complied or provided information disproving the alleged contacts. They did neither. Review asked whether the district court exceeded its discretion, rather than whether the appellate judges would have selected exactly the same sanction in the first instance.

The Court also explained the risks of alternative procedural choices. A defendant may stay out of the litigation, risk a default judgment, and later contest personal jurisdiction in a collateral proceeding. A defendant who actually litigates and loses the jurisdictional issue is ordinarily bound by that determination and cannot relitigate it elsewhere. This finality rule does not mean that ignoring suit is costless: if jurisdiction exists, the default can stand and the merits opportunity may have been lost. *456 U.S. at 701-09*.

Separate Opinions

Justice Powell agreed with affirmance but preferred a narrower rationale. CBG had already made a prima facie showing of minimum contacts, which justified discovery; the insurers' refusal then permitted that showing to be treated as sufficient. He worried that the majority's broad discussion of personal rights and waiver obscured statutory limits on a federal court's jurisdiction and the role of state long-arm law. He would not treat Rule 37 as an independent grant of jurisdiction or permit jurisdictional discovery based on wholly speculative allegations. *456 U.S. at 709-17*.

Notes

This case concerns the consequences of failing to provide evidence needed to decide jurisdiction. It does not authorize a court to invent subject-matter jurisdiction or declare personal jurisdiction as punishment for any misconduct. Its individual-right rationale connects to the contractual consent in *The Bremen* and *Carnival Cruise* and to Justice Jackson's concurrence in *Mallory*. A preserved jurisdictional objection still carries obligations to participate properly in its adjudication.

The Bremen v. Zapata Off-Shore Co.

Citation

The Bremen v. Zapata Off-Shore Co., 407 U.S. 1 (1972). United States Supreme Court, decided June 12, 1972. Chief Justice Burger delivered the opinion of the Court. Justice White filed a short concurrence, and Justice Douglas dissented. The dispute arose in federal admiralty and concerned enforcement of a contractual forum-selection clause.

[Full judicial opinion.](#)

Parties

Zapata Off-Shore Company, a Houston-based American corporation, owned the drilling rig Chaparral. It was plaintiff in the American damages action and respondent in the Supreme Court. Unterweser Reederei, a German corporation, agreed to tow the rig with its deep-sea tug Bremen. Unterweser and the vessel were defendants below and petitioners seeking enforcement of the London forum clause. The American complaint asserted personal liability against Unterweser and proceeded in rem against the tug itself.

Material Facts

In November 1967, Zapata accepted Unterweser's bid to tow the Chaparral from Louisiana to a location off Ravenna, Italy. Zapata reviewed the proposed contract, made several changes, and signed it without altering the forum clause or two provisions purporting to relieve Unterweser of responsibility for certain damage to the rig. The forum clause required that any dispute arising be treated before the London Court of Justice, understood as the English High Court of Justice.

The Bremen departed Louisiana on January 5, 1968. Four days later, a storm in international waters in the Gulf of Mexico caused the rig's raised legs to break off, seriously damaging it. At Zapata's direction, the tug took the rig to Tampa, the nearest port of refuge. The location of the emergency landing therefore supplied the immediate American connection to the ensuing litigation. The parties had contemplated a voyage through many jurisdictions and had selected London as a neutral, experienced maritime forum before the accident. *407 U.S. at 2-4.*

Procedural History

On January 12, Zapata filed an admiralty action in the federal district court in Tampa seeking \$3.5 million for negligent towage and breach of contract. The vessel was arrested and later released after security was furnished. Unterweser moved to dismiss for lack of jurisdiction or forum non conveniens, or alternatively to stay the action pending litigation in London. In February it brought a contract action against Zapata in the English High Court. Zapata specially appeared there to challenge jurisdiction, but the English courts enforced the forum clause.

The Bremen (continued)

The American court had not ruled on Unterweser's motion when the six-month deadline for seeking limitation of maritime liability approached. To preserve that protection, Unterweser filed a limitation action in Tampa on July 2, 1968. The court issued the customary injunction against proceedings elsewhere, and Zapata filed its damages claim in the limitation proceeding. Later that month, the district court denied the original motion to dismiss or stay. Relying on circuit precedent hostile to forum clauses, it applied ordinary forum non conveniens balancing and placed the burden on Unterweser to show that the balance strongly favored another forum.

In January 1969, the district court also denied a stay of the limitation proceeding and restrained Unterweser from continuing the English action. It reasoned that Unterweser had invoked the American court's equitable authority by filing for limitation and should litigate the entire controversy there. A divided Fifth Circuit panel affirmed. On rehearing en banc, the court adopted the panel decision, with six of fourteen judges dissenting, 428 F.2d 888 and 446 F.2d 907. The Supreme Court granted certiorari amid disagreement over the force of forum-selection clauses. The challenged orders concerned where the dispute would be decided, rather than a completed determination of negligent towage. *407 U.S. at 4-8*.

Issue

Should a federal admiralty court enforce a freely negotiated international agreement requiring litigation in London, or may it disregard the clause because the American forum is convenient and foreign law might enforce liability limitations disfavored domestically? Did Unterweser surrender the clause by filing a protective limitation action in the United States?

Rule and Holding

A forum-selection clause in this setting is *prima facie* valid and should be enforced unless the resisting party clearly shows that enforcement would be unreasonable and unjust, that the clause resulted from fraud or overreaching, or that enforcement would contravene a strong public policy of the forum. Foreseeable inconvenience is insufficient; the resisting party must show that litigation in the chosen forum would be so gravely difficult that it would effectively lose its day in court. Zapata bore that heavy burden. Unterweser's protective limitation filing did not waive reliance on the clause. *407 U.S. at 10-20*.

Judgment

The Court vacated the Fifth Circuit's judgment and remanded for reconsideration under the proper standard and burden. It strongly indicated that the existing record did not justify refusing enforcement, but allowed Zapata an opportunity to make the required showing. It did not decide the negligence claim, enforce the exculpatory clauses on the merits, or itself enter a damages judgment.

Reasoning

The Court rejected the traditional idea that enforcing a forum clause improperly ousts a court of jurisdiction. The parties' agreement did not eliminate the American court's legal power. It shaped whether the court should exercise that power beyond giving effect to the agreed forum. Jurisdiction to hear the controversy and enforcement of a contractual choice of forum were therefore distinct questions.

The Bremen (continued)

The commercial setting made the agreement especially important. Two sophisticated businesses from different countries had arranged a costly international tow. An accident could occur along a long route, and the vessel might seek refuge in many ports. An agreed forum reduced the uncertainty of litigation in whichever place happened to become available after an accident. London was neutral between the parties and possessed substantial maritime expertise. The Court regarded the clause as part of the allocation of risk and cost embodied in the bargain.

The lower courts' ordinary convenience analysis put the burden on the wrong party. A plaintiff who agreed beforehand to litigate in London could not defeat that promise simply by showing that Tampa was now preferable. Zapata had to establish a strong reason for setting the clause aside. The district court's conclusions about Gulf Coast witnesses and convenience did not establish effective deprivation of a meaningful opportunity to litigate, especially given the availability of deposition evidence.

The possibility that English law would enforce exculpatory provisions did not establish a controlling American public-policy objection. The Court distinguished *Bisso's* policy concerning towage in American waters from this negotiated international undertaking. It preserved the general principle that a strong policy declared by statute or judicial decision could defeat a forum clause. It did not hold every contractual choice valid whenever parties are sophisticated, nor did it decide that every possible liability waiver in the contract was enforceable.

Finally, Unterweser's limitation action was defensive. The statutory deadline was about to expire while its pending request to enforce the clause remained undecided. Filing preserved a protection that might otherwise be lost if the American litigation continued. Treating that necessary precaution as abandonment of the London clause would allow Zapata's own refusal to honor the agreement to force the loss of Unterweser's rights. The clause's mandatory and comprehensive wording also covered the in rem claim against the tug. *407 U.S. at 12-20.*

Separate Opinions

Justice White joined the opinion and judgment except for comments assessing matters left for remand; he preferred that the district court consider those matters first. Justice Douglas dissented. He believed Unterweser's invocation of the limitation court subjected it to that court's full equitable authority, including an injunction against the English action. He also regarded the forum clause as a means of obtaining enforcement of exculpatory terms contrary to American maritime policy and emphasized the practical advantages of the Tampa forum. He would have affirmed. *407 U.S. at 20-24.*

Notes

The holding arose in federal admiralty and a negotiated international commercial agreement. *Carnival Cruise* later considers how the rationale applies to a nonnegotiated passenger ticket. A forum-selection clause identifies where litigation must occur; it is analytically distinct from a clause selecting governing law or limiting liability, although those provisions can interact. The remand here followed use of the wrong enforcement standard, rather than a finding that the American court lacked subject-matter jurisdiction.

Carnival Cruise Lines, Inc. v. Shute

Citation

Carnival Cruise Lines, Inc. v. Shute, 499 U.S. 585 (1991). United States Supreme Court, decided April 17, 1991. Justice Blackmun wrote for seven Justices. Justice Stevens dissented, joined by Justice Marshall. The decision applied federal admiralty law to a passenger ticket's forum-selection clause.

[Full judicial opinion.](#)

Parties

Eulala and Russel Shute, a married couple from Washington, were plaintiffs below and respondents in the Supreme Court. Carnival Cruise Lines, Inc., a cruise operator with its principal place of business in Florida, was defendant and petitioner. Mrs. Shute alleged personal injuries caused by negligence of Carnival and its employees; both spouses sought to litigate in Washington.

Material Facts

The Shutes bought passage on a seven-day cruise aboard the *Tropicale* through a travel agent in Arlington, Washington. Their payment was forwarded to Carnival's Miami headquarters, after which Carnival prepared and sent the tickets. A notice on the ticket's face directed passengers to the contract conditions on its final pages. One provision treated acceptance of the ticket as acceptance of its terms. Another required all disputes arising under, connected with, or incident to the contract to be litigated exclusively in a court located in Florida.

The Shutes boarded in Los Angeles. The ship traveled to Puerto Vallarta, Mexico, and returned to Los Angeles. Mrs. Shute allegedly slipped on a deck mat while touring the galley when the ship was in international waters off Mexico. The ticket clause was a standardized term that the Shutes had not individually negotiated. Whether the term had been adequately communicated was potentially important, but the Shutes essentially conceded notice in the litigation before the Supreme Court. The Court expressly limited its decision in light of that concession. *499 U.S. at 587-90*.

Procedural History

The Shutes sued in the United States District Court for the Western District of Washington, invoking admiralty. Carnival moved for summary judgment on two grounds: the ticket required suit in Florida, and Carnival lacked sufficient Washington contacts for personal jurisdiction. The district court granted the motion on the constitutional personal-jurisdiction ground. It did not make findings that litigating in Florida would be physically or financially impossible for the Shutes.

Carnival Cruise (continued)

The Ninth Circuit first reversed in 1988, then withdrew that opinion to certify to the Washington Supreme Court whether the state's long-arm statute reached Carnival on these facts. The Washington Supreme Court answered yes, reasoning that the claim arose from Carnival's advertising and promotion in Washington. The Ninth Circuit then reissued its modified opinion, 897 F.2d 377 (1990). It found sufficient contacts under a but-for theory linking solicitation to purchase of the cruise and the eventual injury. It separately rejected the forum clause because it had not been freely bargained for and because the record, in its view, showed the Shutes could not afford to pursue the case in Florida.

The Supreme Court granted certiorari and reversed based on the contractual forum clause. Because that ground disposed of the question whether the Washington district court should hear the case, the Court expressly declined to decide Carnival's constitutional objection to personal jurisdiction. The change in rationale is crucial: the Supreme Court sustained Carnival's effort to end the Washington litigation through enforcement of the contract, rather than approving the district court's minimum-contacts analysis. *499 U.S. at 588-90, 597 n. **

Issue

Is a reasonable forum-selection clause in a standard passenger ticket unenforceable merely because the passengers did not negotiate it? Did alleged inconvenience or the federal statute protecting injured passengers require that this Florida clause be set aside?

Rule and Holding

A nonnegotiated forum-selection clause in a form passage contract is not invalid merely because it was not individually bargained for. It remains subject to review for fundamental fairness, fraud, overreaching, and sufficiently grave inconvenience. The Shutes had not carried the heavy burden required to avoid this clause. The clause also did not violate the version of the federal passenger-protection statute then codified at 46 U.S.C. App. §183c, because it preserved adjudication by a competent court and did not limit Carnival's substantive liability. *499 U.S. at 590-97.*

Judgment

The Supreme Court reversed the Ninth Circuit. The Florida forum clause was enforceable, and the Shutes could not maintain this action in Washington contrary to that agreement. The Court did not decide whether Carnival had sufficient Washington contacts, whether Carnival was negligent, or whether the Shutes were entitled to damages. It also did not itself transfer the suit to a particular Florida court.

Reasoning

The Court read *The Bremen's* emphasis on free negotiation in context. It was realistic to expect bargaining between sophisticated corporations arranging an international tow. It was unrealistic to expect an individual passenger to negotiate every term of an ordinary cruise ticket. That difference did not make a reasonable forum clause categorically unenforceable. The inquiry had to account for standardized passenger contracts while preserving scrutiny for unfair terms.

Carnival Cruise (continued)

Carnival had a legitimate interest in limiting the number of forums in which it might be sued, because its passengers came from many locations. An advance choice reduced uncertainty, avoided litigation over where to sue, and conserved judicial resources. The majority also reasoned that savings from predictable litigation costs were likely reflected in lower fares. That was the Court's economic rationale; the opinion did not identify a factual finding that these particular passengers had received a quantified discount in exchange for the clause.

Florida was connected to Carnival's business rather than selected as an arbitrary obstacle. Carnival maintained its principal place of business there and operated many cruises from Florida ports. The record contained no showing that the company chose Florida to discourage legitimate claims or secured the Shutes' agreement through fraud or overreaching. Because notice had been conceded, the majority presumed they retained the opportunity to reject the contract. The dissent disputed the practical force of that presumption.

The asserted inconvenience did not justify nonenforcement. The district court had made no finding about physical or financial inability to litigate in Florida, and the Ninth Circuit's conclusory reference to the record did not supply a sufficient basis for the Supreme Court to accept such a finding. Florida was not a remote foreign forum, and an accident off Mexico on a cruise departing California was not an essentially local Washington dispute. The Shutes therefore failed to meet the substantial burden described in *The Bremen*.

The statute prohibited ticket provisions relieving a carrier from negligence liability or weakening the right to a trial before a competent court. The majority distinguished selecting among competent courts from eliminating judicial recourse or capping recovery. A Florida court could adjudicate the same liability claim, so the clause did not violate the statute as construed by the Court. 499 U.S. at 593-97.

Separate Opinions

Justice Stevens, joined by Justice Marshall, dissented. He emphasized that passengers received the ticket conditions after paying and that a separate nonrefund provision made rejection costly or uncertain. Fine print and unequal bargaining power undermined meaningful assent. He also read the passenger-protection statute more broadly: a distant forum could weaken the practical right to recover even without expressly eliminating liability. In his view, lower litigation expenses for Carnival did not justify shifting an unreasonable burden to an injured passenger, and a negotiated commercial clause in *The Bremen* did not resolve a consumer ticket's enforceability. 499 U.S. at 597-605.

Notes

The case turns on an enforceable forum agreement and the plaintiffs' notice concession. It does not hold that every fine-print clause binds a passenger regardless of communication, fairness, or the circumstances of assent. The Ninth Circuit's but-for minimum-contacts analysis was left unreviewed by the Supreme Court; it should not be cited as the Supreme Court's holding. The choice of Florida also differs from a choice of Florida substantive law, which the clause did not itself decide.

Zippo Manufacturing Co. v. Zippo Dot Com, Inc.

Citation

Zippo Manufacturing Co. v. Zippo Dot Com, Inc., 952 F. Supp. 1119 (W.D. Pa. 1997). United States District Court for the Western District of Pennsylvania, decided January 16, 1997. District Judge Sean J. McLaughlin issued the opinion. This is a federal trial-court decision on a pretrial motion, rather than a Supreme Court or court-of-appeals ruling.

[Full judicial opinion.](#)

Parties

Zippo Manufacturing Company, a Pennsylvania corporation headquartered in Bradford, manufactured Zippo lighters and owned the trademarks at issue. It was the plaintiff. Zippo Dot Com, Inc., a California corporation headquartered in Sunnyvale, operated an internet news service and website. It was the defendant moving to dismiss or transfer the action. The shared word in their names reflected the trademark dispute; the entities were separate businesses.

Material Facts

Dot Com used the domain names zippo.com, zippo.net, and zipponews.com. Its website provided information, advertising, and an application for its news service. Users could obtain different membership levels, including paid subscriptions permitting access to and downloading of newsgroup messages stored on California servers. Applicants supplied their names and addresses, paid by credit card over the internet or telephone, and received passwords after their applications were processed.

Dot Com had approximately 140,000 paying subscribers worldwide. Roughly 3,000, about 2 percent, were Pennsylvania residents. It also had contracts with seven Pennsylvania internet-access providers allowing their subscribers to use its news service; two providers were in the Western District of Pennsylvania. Dot Com had no Pennsylvania offices, employees, or agents, and its servers were in California. Its Pennsylvania relationships nevertheless involved repeated, knowing delivery of services to customers whose addresses it collected.

Manufacturing alleged trademark infringement, dilution, and false designation arising from Dot Com's use of "Zippo" in its domains, website, and message headings. Messages downloaded into Pennsylvania carried the allegedly infringing designation. Some messages contained sexually explicit material, which was relevant to the dilution allegations. The jurisdictional connection therefore involved delivery of the very messages challenged in the lawsuit, rather than mere availability of an unrelated website. *952 F. Supp. at 1121-22.*

Procedural History

Manufacturing filed a five-count complaint in the Western District of Pennsylvania. It asserted federal trademark claims, a Pennsylvania dilution claim, and requests for an accounting and constructive trust. Dot Com moved to dismiss for lack of personal jurisdiction under Rule 12(b)(2) and improper venue under Rule 12(b)(3). Alternatively, it requested transfer under 28 U.S.C. §1406(a), which addresses cases filed in an improper venue.

Zippo (continued)

The district court considered the motion before deciding infringement or damages. Once personal jurisdiction was challenged, Manufacturing bore the burden of presenting sufficient facts to make a prima facie showing of jurisdiction. Manufacturing expressly relied on specific jurisdiction and conceded that it was not asserting general jurisdiction. The court thus had to connect Dot Com's Pennsylvania conduct with the trademark claims, rather than decide whether its operations made it generally answerable in Pennsylvania.

Pennsylvania's long-arm statute expressly authorized jurisdiction over a defendant contracting to supply services in the state and extended to the constitutional limit. The court examined purposeful contacts, the claims' connection to those contacts, and reasonableness. It then separately addressed venue under the version of 28 U.S.C. §1391 applicable in 1997. The published opinion denied the dismissal and transfer motion; it did not review a lower-court judgment or conclude the trademark litigation. *952 F. Supp. at 1121-23, 1127-28.*

Issue

Does an out-of-state internet service provider purposefully establish contacts supporting specific jurisdiction when it knowingly contracts with thousands of forum residents and local access providers and transmits material bearing the allegedly infringing mark into the forum? Is venue proper in the plaintiff's chosen district under the applicable federal venue statute?

Rule and Holding

The court described a spectrum based on the nature and quality of commercial activity conducted online. Knowing, repeated transmission of files under contracts with forum residents supports jurisdiction; merely posting information accessible from the forum does not by itself. For intermediate interactive sites, the degree of interaction and commercial character of the exchanges matter. Dot Com's actual subscriptions and continuing deliveries placed it at the commercial end of that spectrum. Those purposeful contacts gave rise to the asserted infringement, and jurisdiction was reasonable. Venue was also proper. *952 F. Supp. at 1124-28.*

Judgment

The district court denied Dot Com's motion to dismiss for lack of personal jurisdiction and improper venue, as well as its alternative request to transfer under §1406(a). The action could proceed in the Western District of Pennsylvania. The decision did not establish that the marks were infringed or diluted, impose liability, or determine the requested equitable remedies.

Reasoning

The court treated internet transactions as a way to conduct ordinary interstate business. Physical entry into Pennsylvania was unnecessary when the defendant deliberately created continuing relationships with people there. Dot Com did more than advertise a website or invite future contact: it processed Pennsylvania customers' applications, accepted payment, issued passwords, and repeatedly transmitted the service they purchased. Because customer addresses were collected, these were knowing forum relationships.

Zippo (continued)

Dot Com argued that Pennsylvania residents had initiated contact by finding the website, making the resulting business fortuitous. The court rejected that characterization. A user's first approach did not compel Dot Com to accept the subscription or continue delivering services. The defendant controlled those choices. The opinion distinguished a service provider's deliberate Pennsylvania sales from an out-of-state subscriber independently forwarding a message into Pennsylvania or bringing a computer there. The former conduct belonged to the defendant; the latter would depend on a customer's unilateral action.

The company also emphasized that Pennsylvania customers were only 2 percent of its subscribers. The court looked to the quality and nature of the relationships rather than treating a small share of worldwide business as a jurisdictional exemption. Three thousand continuing customer contracts and seven provider agreements were substantial purposeful activity for a dispute arising from those transactions. This was a specific-jurisdiction analysis, so it did not require that Pennsylvania be the center of the company's overall operations.

Relatedness came from delivery of the challenged material. The messages carried the disputed "Zippo" designation into Pennsylvania, where subscribers viewed or downloaded them. Those alleged acts of infringement and dilution, together with the claimed injury to a Pennsylvania trademark owner, linked the litigation to the forum business. Pennsylvania's interest in protecting a resident company's marks and the plaintiff's interest in effective relief outweighed the burden of requiring the California business to defend consequences of its deliberately undertaken transactions.

Venue required its own statutory analysis. Under the then-applicable provisions of §1391(b)(1) and (c), the sole corporate defendant could be sued in a district in which it was deemed to reside through its amenability to personal jurisdiction. Dot Com's contrary authority involved a different venue basis, the location of substantial events under §1391(b)(2), and did not eliminate the corporate-residence alternative. With venue proper, the requested dismissal or transfer to cure improper venue was unwarranted. *952 F. Supp. at 1125-28.*

Separate Opinions

There were no separate opinions. Judge McLaughlin decided the motion as a single district judge.

Notes

The holding rests on actual, repeated commercial relationships with Pennsylvania customers and claims arising from the delivered content. It does not mean that every interactive website creates jurisdiction in every place from which it can be accessed. The court's discussion of passive and intermediate sites explains its framework; the facts before it involved completed commercial transactions. Its status as a district-court opinion also matters: the sliding scale is not itself a Supreme Court holding. Read alongside *Ford*, the enduring questions remain the defendant's deliberate forum contacts and the connection between those contacts and the particular lawsuit. The venue discussion describes the statute applied in this 1997 decision.

Shaffer v. Heitner

Citation

Shaffer v. Heitner, 433 U.S. 186 (1977). United States Supreme Court, decided June 24, 1977. Justice Marshall delivered the Court's opinion. Chief Justice Burger and Justices Stewart, White, Blackmun, and Powell joined it; Justice Brennan joined Parts I-III but dissented from the application and result. Justice Powell also concurred separately, and Justice Stevens concurred in the judgment. Justice Rehnquist did not participate. The case reached the Court by appeal from the Delaware Supreme Court under the jurisdictional statute then in effect.

Full judicial opinion.

Parties

Arnold Heitner, a nonresident of Delaware who owned one share of Greyhound Corporation stock, brought a shareholder derivative action. He was the plaintiff and Supreme Court appellee. A derivative plaintiff seeks recovery on a claim belonging to the corporation, so the alleged corporate injury, rather than a separate individual injury to Heitner's single share, was the basis of the lawsuit. He named Greyhound Corporation, its wholly owned subsidiary Greyhound Lines, Inc., and twenty-eight current or former officers and directors as defendants. Twenty-one individuals whose property was sequestered challenged jurisdiction and were the Supreme Court appellants.

Greyhound Corporation was incorporated in Delaware and headquartered in Phoenix, Arizona. Greyhound Lines was incorporated in California and also headquartered in Phoenix. The individual defendants were not Delaware residents. The corporate parent's Delaware incorporation supplied the link used to assign a Delaware location to the individuals' shares, but it did not automatically place the individual officers and directors within Delaware's personal jurisdiction.

Material Facts

Heitner alleged that the officers and directors breached their duties to Greyhound by causing it and its subsidiary to engage in conduct that led to a substantial private antitrust judgment and criminal contempt fines. The underlying activities occurred in Oregon. The antitrust judgment exceeded \$13 million, and the fines totaled \$600,000. The derivative action sought to hold the fiduciaries responsible for those corporate losses. It did not dispute ownership of the defendants' stock or seek to establish rights in the stock itself.

Delaware law provided a sequestration procedure under which a court could seize a nonresident defendant's property in the state to compel a personal appearance. A separate statute deemed stock in a Delaware corporation located in Delaware for attachment and jurisdictional purposes, even when the owner and stock certificates were elsewhere. Heitner used these provisions to reach the defendants' shares, options, and related interests. The sequestrator placed stop-transfer orders on Greyhound's books covering approximately 82,000 shares owned by nineteen defendants and options owned by two others. None of the share certificates was shown to be physically present in Delaware.

Shaffer (continued)

The statutory mechanism ordinarily released the property once the defendant made a general appearance, unless the plaintiff showed a sufficient reason to continue the seizure. A defendant could challenge jurisdiction by special appearance, but could not defend the merits while retaining only a limited exposure to the attached property. That feature placed pressure on the individuals to submit to full personal jurisdiction in order to protect their assets. *433 U.S. at 189-95 & nn.2-9, 12.*

Procedural History

On May 22, 1974, Heitner filed his derivative complaint in the Delaware Court of Chancery for New Castle County and simultaneously requested sequestration under title 10, §366 of the Delaware Code. The court issued the order that day. The defendants received notice by certified mail and newspaper publication. Twenty-one individuals entered special appearances, moved to quash service, and sought to vacate the sequestration. They argued that the ex parte seizure lacked adequate procedural safeguards, that the property was not properly attachable in Delaware, and that they lacked sufficient Delaware contacts under *International Shoe*.

The Court of Chancery rejected the challenges. It viewed sequestration primarily as a means of compelling appearance, rather than merely preserving assets pending a merits decision. It found the statutory location of the stock sufficient for quasi in rem jurisdiction and treated the procedure's purpose and limits as satisfying due process. The Delaware Supreme Court affirmed, 361 A.2d 225 (Del. 1976). It expressly reasoned that *International Shoe's* contacts analysis did not govern because jurisdiction rested on property located in Delaware rather than prior contacts of the defendants with the state.

The United States Supreme Court noted probable jurisdiction and took the appeal before a trial on the derivative claims. In footnote 12, it explained why the state judgment was sufficiently final for federal review. The federal jurisdictional question had been conclusively resolved in the state system, while further litigation would force the individuals either to accept a default or to appear generally and defend on the merits. A later merits victory could prevent further review even though an erroneous jurisdictional ruling would have required a trial that should never have occurred. Applying the pragmatic finality approach of *Cox Broadcasting*, the Court treated the judgment as reviewable under then-existing §1257.

The Supreme Court resolved the case on adjudicatory jurisdiction and found it unnecessary to decide the separate challenge to the procedural safeguards surrounding the seizure. Actual notice was not disputed. The legal issue was whether Delaware could bind these individuals at all on the asserted basis, even after properly informing them that suit had been filed. *433 U.S. at 189-95, 196 n.12, 213 n.40.*

Issue

May a state obtain jurisdiction over nonresident individuals on an unrelated claim solely by declaring their stock to be located in the state and seizing it? Must the standards of *International Shoe* apply to in rem and quasi in rem jurisdiction, and did the defendants' stock ownership or corporate positions supply adequate contacts in this case?

Rule and Holding

Assertions of state-court jurisdiction over property must be evaluated under *International Shoe* and its progeny. A proceeding against property ultimately adjudicates persons' interests in that property, so the label in rem or quasi in rem cannot avoid due-process limits on adjudicatory authority. Property may supply relevant contacts, especially when the litigation concerns rights in the property itself. Here, the statutory presence of unrelated stock and the asserted corporate affiliations did not establish sufficient contacts to sustain Delaware's exercise of jurisdiction over the individual appellants. 433 U.S. at 207-17.

Judgment

The Supreme Court reversed the Delaware Supreme Court. The sequestration-based assertion of jurisdiction over the appellants could not stand. It did not determine whether the officers or directors had breached fiduciary duties, whether the corporation was entitled to indemnification, or whether every attachment procedure was constitutionally defective. It also left the independent procedural due-process challenge to the ex parte seizure undecided because the jurisdictional defect resolved the appeal.

Reasoning

The Court reconsidered the territorial framework associated with *Pennoyer*. Traditional doctrine had treated power over property in the state as sufficient to adjudicate interests in that property, even when the owner could not otherwise be sued there. *International Shoe* shifted the inquiry toward the relationship among the defendant, forum, and litigation. The Court found no justification for applying that fairness-based inquiry to a direct personal claim while allowing an identical underlying claim to escape scrutiny simply because the plaintiff attached an asset.

An in rem action determines interests in a thing, and quasi in rem jurisdiction traditionally permits a plaintiff to reach a particular defendant's interest in property to satisfy a claim. Both affect the rights of people. The constitutional question therefore cannot stop at identifying a res within the state. The property must be considered as part of the defendant-forum-litigation relationship. Where ownership or possession of land is the dispute, local property will ordinarily create strong links, and the state has an obvious interest in resolving it. Many traditional property cases can therefore satisfy minimum contacts without difficulty.

Here the Greyhound stock was an asset used to force appearance, not the subject of the derivative claim. The alleged wrong was managerial misconduct leading to corporate liability for conduct in Oregon. Whether the individuals happened to own Greyhound shares did not connect that wrong to Delaware. Delaware's statutory assignment of a location to intangible shares could not supply the missing substantive relationship merely by legislative declaration.

The Court rejected the idea that unrelated-property jurisdiction was necessary to prevent debtors from escaping liability by moving assets. Proper attachment could preserve assets to secure a judgment being sought in a forum with authority to decide the claim. A valid personal judgment could then receive full faith and credit elsewhere. In footnote 36, the Court distinguished using property to enforce an already established obligation from using it as the sole basis for first adjudicating liability. It also left unresolved, in footnote 37, whether property might furnish jurisdiction when no other forum was available.

Shaffer (continued)

Heitner alternatively emphasized Delaware's interest in regulating fiduciaries of its corporations. The majority found the existing statute poorly matched to that interest: it reached nonresident asset owners generally and failed to reach seven named fiduciaries who lacked attachable property. A law aimed at corporate officials' responsibilities would operate differently. Moreover, Delaware's interest in applying its corporate law did not itself establish authority over the individuals. Choice of law and personal jurisdiction remained separate questions.

The majority also found no adequate purposeful affiliation from accepting the positions or acquiring shares on this record. Delaware had not then enacted a statute treating acceptance of a directorship as consent to jurisdiction. The individuals were not required to own shares to hold office, and purchase of stock did not amount to consent to suit there on any claim. The Court acknowledged tradition but refused to make historical longevity conclusive when an old jurisdictional form lacked an adequate contemporary justification. 433 U.S. at 207-17.

Separate Opinions

Justice Powell joined the Court but would expressly reserve whether ownership of property with a fixed, unmistakable location, particularly real estate, could alone support jurisdiction up to the property's value. He regarded that issue as different from the statutory situs assigned to intangible shares. Justice Stevens concurred in the judgment because an ordinary securities purchaser lacked fair warning of being forced into unrelated Delaware litigation. He emphasized the combination of an artificial stock location and the requirement of a general appearance to defend the merits. He also cautioned against reading the opinion to invalidate established methods involving adequate notice and predictable local activity.

Justice Brennan agreed that *International Shoe* should govern property-based jurisdiction, but objected to the Court's immediate finding of insufficient contacts. The parties had litigated under a framework in which those contacts supposedly did not matter, so the plaintiff had not had a normal opportunity to develop the relevant facts through discovery. He favored allowing Delaware to reconsider its law and permitting development of the record. Substantively, he thought acceptance of fiduciary responsibilities under Delaware law, the state's strong interest in corporate accountability, and the derivative nature of the claim ordinarily supplied a substantial relationship supporting jurisdiction. His disagreement thus concerned both the factual record and the majority's evaluation of the corporate relationship. 433 U.S. at 217-28.

Notes

The case distinguishes authority to decide liability from notice of suit and from fairness of the asset-seizure procedure. Satisfying one requirement does not automatically satisfy the others. Its broad statement about all assertions of state jurisdiction later generated disagreement in *Burnham*, where every Justice sustained personal service on a voluntarily present individual but differed over whether historical practice alone was sufficient. *Mallory* likewise addresses consent rather than treating the mere ownership of unrelated property as a universal jurisdictional basis. The discussion of Delaware's consent law describes the law before the Court in 1977, not the content of every later corporate-jurisdiction statute.

Burnham v. Superior Court of California, County of Marin

Citation

Burnham v. Superior Court of California, County of Marin, 495 U.S. 604 (1990). United States Supreme Court, decided May 29, 1990. All nine Justices agreed to affirm, but no single rationale commanded five votes. Justice Scalia announced the judgment. Chief Justice Rehnquist and Justice Kennedy joined his opinion; Justice White joined Parts I, II-A, II-B, and II-C and wrote separately. Justice Brennan concurred in the judgment with Justices Marshall, Blackmun, and O'Connor. Justice Stevens wrote a separate concurrence in the judgment.

[Full judicial opinion.](#)

Parties

Dennis Burnham, a New Jersey resident, was the husband and defendant in the California divorce proceeding. He petitioned for relief from the California court's assertion of personal jurisdiction and later sought Supreme Court review. Francie Burnham, his estranged wife, had moved to California with their children and filed the California action. The Superior Court appears in the caption because Dennis pursued extraordinary relief directed at the trial court's jurisdictional ruling, rather than an ordinary appeal from a final divorce decree.

Material Facts

The Burnhams married in West Virginia in 1976 and moved to New Jersey in 1977. Their two children were born there. In July 1987, the couple agreed to separate. Francie planned to move to California with the children, and the spouses agreed that she would file for divorce on irreconcilable-differences grounds. In October, Dennis instead filed a New Jersey divorce complaint alleging desertion. He did not obtain issuance of a summons or attempt to serve Francie in that proceeding.

Francie filed for divorce in California in early January 1988 after Dennis did not comply with their earlier agreement. Later that month, Dennis traveled to southern California on business and then went to the San Francisco Bay Area to visit his children. He took the older child to San Francisco for the weekend. On January 24, when he returned the child to Francie's home, he was personally served with the California summons and divorce petition. He then returned to New Jersey.

The service occurred while Dennis was voluntarily and knowingly within California. His visits were brief, and the marital history was principally connected to New Jersey. The constitutional issue was presented as whether in-state service could support jurisdiction even though the suit was unrelated to his California activities. The case did not involve a defendant whose physical presence had been procured by fraud or force. 495 U.S. at 607-08.

Procedural History

Dennis made a special appearance in the California Superior Court and moved to quash service of process for lack of personal jurisdiction. He argued that his only California contacts were a few short trips for business and to see his children, insufficient to support the divorce action under minimum-contacts principles. His special appearance sought to preserve that objection while asking the court to resolve its power over him.

The Superior Court denied the motion. Dennis then sought mandamus relief in the California Court of Appeal for the First Appellate District. That court denied relief, holding that personal service on a defendant physically present within the state furnished a valid basis for personal jurisdiction. The United States Supreme Court granted certiorari to review the Court of Appeal's judgment.

The Supreme Court reviewed the constitutional validity of this basis of jurisdiction. The case had not reached it as review of a final ruling on marital status, property division, support, or custody. The Court also did not decide the priority or ultimate effect of Dennis's unserved New Jersey complaint. The operative question was whether California could proceed against him on the strength of the personal service made during his visit. *495 U.S. at 607-08*.

Issue

Does the Fourteenth Amendment permit a state court to exercise personal jurisdiction over a nonresident individual personally served while voluntarily and temporarily in the state, when the lawsuit does not arise from the activities that brought him there? After *International Shoe* and *Shaffer*, must the plaintiff separately establish claim-related minimum contacts despite valid in-state personal service?

Rule and Holding

Personal service on Dennis while he was voluntarily present in California constitutionally supported jurisdiction in this case, even though the visit was temporary and the suit unrelated to his local activities. The Court unanimously sustained that result. The opinions did not produce a single majority explanation of why transient, often called tag, jurisdiction satisfies due process. Scalia relied on the enduring historical rule; Brennan independently evaluated present fairness; White and Stevens offered their own grounds. *495 U.S. at 619, 628-40*.

Judgment

The Supreme Court affirmed the California Court of Appeal. The denial of Dennis's motion to quash and his request for extraordinary relief remained in place, permitting the California proceeding to continue with personal jurisdiction over him. The ruling did not itself dissolve the marriage or determine the substantive rights of either spouse.

Reasoning

Scalia began with the long acceptance of jurisdiction over individuals served within a state's territory. He examined English and American sources, emphasizing the rule's acceptance around the adoption of the Fourteenth Amendment and its continued use by American courts. For him, an established and still-accepted method helped define the traditional notions of fair play and substantial justice invoked in *International Shoe*. A brief visit did not defeat a valid personal service, and a claim did not need to arise from that visit.

Scalia understood *International Shoe* as expanding the circumstances in which courts could exercise jurisdiction over defendants absent from the forum. Minimum contacts provided a means of evaluating an absent defendant's relationship to the state when physical service within it was unavailable. The decision did not make actual presence insufficient merely because it ceased to be necessary in other situations. A rule developed to justify jurisdiction over absent defendants therefore did not eliminate the traditional rule governing a defendant actually served in the state.

Scalia also read *Shaffer* in its context. That case involved absent individuals whose unrelated property was assigned a forum location by statute. Its extension of minimum contacts to quasi in rem proceedings prevented indirect adjudication against absent defendants on a basis that would not support a direct personal action. Scalia did not read its general language as compelling identical treatment of individuals personally present and individuals reached only through unrelated assets. This part of his discussion, and his response to Brennan's proposed fairness inquiry, received only three votes.

Scalia criticized an additional case-by-case fairness test as an uncertain means of resolving a preliminary issue. If every valid in-state service required further assessment of how fair a particular visit made litigation, the parties could incur substantial jurisdictional litigation before reaching the dispute itself. The traditional rule supplied an ascertainable event and predictable consequence. His opinion nevertheless concerned the accepted rule of voluntary presence and service, not every imaginable method of bringing a defendant physically within a state.

The opposing rationale came from Brennan's concurrence. He read *International Shoe* and *Shaffer* as requiring every jurisdictional rule, including an old one, to satisfy contemporary due process. Historical pedigree was relevant but not conclusive. A rule could persist for many years and still need a present justification. He nevertheless concluded that transient jurisdiction ordinarily met the fairness standard because voluntary visitors had notice of the rule and enjoyed real benefits from the forum's laws and services. Thus, the methodological disagreement did not change Dennis's result. 495 U.S. at 610-27, 629-39.

Separate Opinions

Justice White joined substantial portions of Scalia's opinion and agreed that personal service was enough here. He would not invalidate the traditionally accepted rule without a showing that it was so arbitrary and unreasonable in its general operation that it violated due process. Until such a showing, he saw no need to entertain endless assertions of unfairness in individual cases, at least when the defendant's presence was intentional. He did not join Scalia's full discussion of *Shaffer* or his attack on Brennan's approach. 495 U.S. at 628.

Justice Brennan, joined by Marshall, Blackmun, and O'Connor, gave tradition weight because it supplied fair warning, rather than because it automatically established constitutionality. A visitor used the state's roads, received police and emergency protection, participated in its economy, and could invoke its courts. Allowing a visitor to sue while exempting him from being sued there would produce an asymmetry. Modern travel and communications reduced defense burdens, and devices such as forum non conveniens could address exceptional inconvenience. Because Dennis was voluntarily and knowingly in California when served, Brennan found the exercise of jurisdiction fair. His concurrence did not hold that historical practice was irrelevant; it required history to work with present fairness. 495 U.S. at 628-40.

Justice Stevens found the historical evidence, the continuing consensus, fairness, and common sense collectively sufficient to affirm. He regarded the broad disagreement between the other opinions as unnecessary to resolve the actual case. His concurrence supplied a ninth vote for the judgment without making either Scalia's historical rationale or Brennan's fairness rationale an opinion of the Court. 495 U.S. at 640.

Notes

The common result is narrower than a claim that any physical connection always resolves personal jurisdiction. Dennis himself, an individual, was served while voluntarily in the forum. The opinion does not hold that serving a corporate employee who happens to be visiting a state automatically makes the corporation subject to all-purpose jurisdiction there. It also does not decide every immunity, fraud, coercion, or involuntary-presence problem that can arise in service practice.

The case distinguishes a rule's validity from agreement about its constitutional foundation. The judgment is unanimous, while the principal explanations are pluralities or concurrences. In *Mallory*, Gorsuch later invokes the continued validity of traditional jurisdictional bases to support registration-based consent, while Barrett disputes the analogy between personal service on an individual and a corporation's mandatory registration. Both arguments depend on reading *Burnham* with its actual voting alignment and factual limits in view.

Mallory v. Norfolk Southern Railway Co.

Citation

Mallory v. Norfolk Southern Railway Co., 600 U.S. 122 (2023). United States Supreme Court, decided June 27, 2023. Justice Gorsuch announced the judgment. Parts I and III-B of his opinion commanded a five-Justice majority comprising Gorsuch, Thomas, Alito, Sotomayor, and Jackson. Parts II, III-A, and IV were a four-Justice plurality, joined by Thomas, Sotomayor, and Jackson. Jackson concurred separately. Alito concurred in part and in the judgment. Justice Barrett dissented, joined by Chief Justice Roberts and Justices Kagan and Kavanaugh. References to opinion parts below preserve the difference between the majority holding and the broader plurality discussion.

[Full judicial opinion.](#)

Parties

Robert Mallory, a former Norfolk Southern employee, was plaintiff below and petitioner in the Supreme Court. He was a Virginia resident when he filed suit. Norfolk Southern Railway Company was the defendant and respondent. At that time it was incorporated in Virginia and had its headquarters there. The relevant corporate locations are those in the record of this suit; the jurisdictional question was whether Pennsylvania could hear Mallory's unrelated claim through the railroad's registration there.

Material Facts

Mallory worked for Norfolk Southern as a freight-car mechanic for almost twenty years in Ohio and Virginia. He alleged that he sprayed asbestos on boxcar pipes, handled chemicals in a paint shop, and demolished car interiors containing carcinogens. After leaving the railroad, he lived in Pennsylvania for a period and then returned to Virginia. He was diagnosed with cancer and attributed the illness to his employment. He did not allege exposure to the carcinogens in Pennsylvania.

Norfolk Southern conducted substantial business in Pennsylvania, including more than 2,000 miles of track, eleven rail yards, and three locomotive repair shops. It had registered to do business there in 1998 and maintained and updated its registration over the following decades. Its registration designated a commercial registered office provider through which it could be located for service. The Pennsylvania statutory scheme made qualification as a foreign corporation a sufficient basis for general personal jurisdiction, extending to any cause of action, whether or not related to Pennsylvania business.

The statutory combination mattered. Pennsylvania required registration for the local business at issue, and expressly attached jurisdictional consequences to qualification. Mallory relied on that legal act as consent rather than trying to prove that the railroad's operations made Pennsylvania its corporate home. Norfolk Southern understood that state law attached all-purpose jurisdiction to its registration, but argued that requiring that submission as a price of doing business was unconstitutional. The alleged injury and the conventional corporate homes supplied no ordinary Pennsylvania basis for specific or at-home general jurisdiction. *Gorsuch opinion, Parts I and III-B.*

Procedural History

Mallory filed his FELA action in the Philadelphia County Court of Common Pleas in September 2017. Norfolk Southern filed preliminary objections challenging personal jurisdiction. It argued that the claim did not arise in Pennsylvania, that it was not at home there under *Goodyear* and *Daimler*, and that registration did not furnish valid consent. On February 7, 2018, the trial court sustained the objections and dismissed the action with prejudice for lack of personal jurisdiction. Its rationale was that the statutory scheme forced corporations to choose between doing business in Pennsylvania and surrendering their jurisdictional protection.

Mallory appealed to the Pennsylvania Superior Court. While the appeal was pending, that court decided *Webb-Benjamin*, which treated registration as a continuing basis of consent after *Daimler*. The trial court issued a supplemental opinion explaining why it regarded the federalism concerns in Mallory's case as different. In October 2020, on Norfolk Southern's application, the Superior Court transferred Mallory's appeal to the Pennsylvania Supreme Court. Section 722(7) gave that court exclusive appellate jurisdiction over final common-pleas orders holding a Pennsylvania statute unconstitutional, and §5103 permitted transfer to the proper tribunal. The transfer was therefore a matter of appellate authority, not a transfer of the underlying tort claim to a different trial forum.

The Pennsylvania Supreme Court affirmed on December 22, 2021, 266 A.3d 542. It accepted that the state statutes authorized all-purpose jurisdiction upon registration but held that requiring registration as a condition of business made the supposed consent involuntary and inconsistent with due process. It regarded *International Shoe* and later cases as having displaced the older registration precedent, *Pennsylvania Fire*. The United States Supreme Court granted certiorari in light of disagreement among state high courts and limited its decision to the Fourteenth Amendment due-process question.

Norfolk Southern had also raised a dormant Commerce Clause objection, which the Pennsylvania Supreme Court had not resolved. That additional constitutional issue remained available for consideration on remand. The Supreme Court's decision did not adjudicate whether Mallory's work caused his cancer, whether Norfolk Southern was negligent, or whether the statutory scheme survived every other constitutional challenge. *Gorsuch opinion, Part I & n.3; Alito opinion, opening discussion. State procedural details: Pennsylvania Supreme Court opinion, 266 A.3d 542 (2021), Part IV.*

Issue

Does the Due Process Clause forbid Pennsylvania from requiring an out-of-state corporation to submit to general personal jurisdiction as a condition of registering to do business, when the company knowingly complied with that express scheme and is sued on a claim unrelated to Pennsylvania? Did *International Shoe* and the at-home cases displace the controlling consent precedent in *Pennsylvania Fire*?

Rule and Holding

On the Pennsylvania statutory scheme and facts presented, enforcing registration-based consent to suit did not violate the Fourteenth Amendment's Due Process Clause. *Pennsylvania Fire Insurance Co. v. Gold Issue Mining & Milling Co.*, 243 U.S. 93 (1917), controlled the materially similar situation and had not been overruled. Lower courts must follow directly controlling Supreme Court precedent even when they perceive tension with a different line of decisions. Consent remains a basis of jurisdiction distinct from the contacts inquiry applicable to a nonconsenting corporation. The Court did not decide whether every state's registration statute establishes consent or whether Pennsylvania's scheme violates the dormant Commerce Clause. *Gorsuch opinion, Part III-B; Alito opinion, Part I.*

Judgment

The Supreme Court vacated the Pennsylvania Supreme Court's judgment and remanded for further proceedings. Mallory prevailed on the due-process question, removing the constitutional ground on which his action had been dismissed. The disposition did not award damages or guarantee that Pennsylvania would ultimately adjudicate the merits. The unresolved Commerce Clause challenge could still affect whether the suit proceeded there.

Reasoning

The five-Justice portion of Gorsuch's opinion relied on the close fit with *Pennsylvania Fire*. That case allowed an Arizona plaintiff to sue a Pennsylvania insurer in Missouri on an insurance obligation concerning Colorado property. The insurer had complied with a Missouri law requiring an appointment for service understood to cover any suit. Its agreement supplied jurisdiction despite the absence of a connection between the underlying claim and Missouri. Norfolk Southern likewise had registered under an explicit law imposing all-purpose jurisdiction and maintained that status while conducting substantial local business.

The state court could not disregard *Pennsylvania Fire* simply because later minimum-contacts decisions seemed inconsistent with it. When a Supreme Court precedent directly controls, lower courts must apply it and leave overruling to the Supreme Court. The absence of a Pennsylvania injury or a current Pennsylvania residence for Mallory did not distinguish the case: the older precedent also involved an out-of-state plaintiff and an out-of-state claim. The holding was tied to this clear legal consequence and this company's compliance, rather than an assumption that every filing with a secretary of state entails blanket consent.

Gorsuch's plurality developed a broader historical account. It compared registration-based consent with personal service on a visiting individual and discussed state laws requiring foreign corporations to accept local adjudicatory authority as a condition of entering local markets. It read *International Shoe* as adding a route to jurisdiction over corporations that had not consented, without abolishing traditional consent-based authority. The plurality invoked *Burnham* to show that minimum contacts did not displace every established jurisdictional basis.

The plurality also rejected Norfolk Southern's attempt to characterize all-purpose jurisdiction as limited exclusively to incorporation and principal place of business. Those paradigms govern jurisdiction based on a corporation's relationship to the forum when consent is absent. A defendant may waive an individual due-process protection, including through conduct with known legal consequences. Norfolk Southern's long registration history and substantial use of Pennsylvania's market and legal protections reinforced the plurality's view that enforcing the arrangement was fair. Alito accepted the narrower conclusion that consent under this scheme satisfied due process, while declining to join all of the plurality's reasoning.

The disagreement was therefore not over whether valid consent can ever establish jurisdiction; all sides recognized that principle. It concerned whether legally required registration with known consequences constituted consent of a kind the Constitution permits a state to obtain. The majority applied the surviving precedent to answer the due-process objection. Alito's separate constitutional concern ensured that the judgment left a different challenge unresolved. *Gorsuch opinion, Parts II-IV; Alito opinion, Parts I-II.*

Separate Opinions

Justice Jackson emphasized *Insurance Corp. of Ireland*. Personal jurisdiction protects an individual, waivable right, and conduct can constitute a legal submission to adjudicatory authority. Norfolk Southern chose registration and the benefits of extensive local business despite the clear statutory consequence. In her view, asking whether the company could have been sued without that waiver missed the point of consent. She also distinguished local business requiring registration from trains merely passing through the state.

Justice Alito supplied the fifth vote for the controlling holding and disposition. He found *Pennsylvania Fire* directly applicable and saw no fundamental unfairness in requiring this sophisticated company, with extensive Pennsylvania operations and clear notice, to defend there. He nevertheless doubted that Pennsylvania could constitutionally impose the condition under other provisions. In particular, a state might burden interstate commerce by compelling out-of-state businesses to defend claims having no local connection. He discussed both discrimination against interstate commerce and burdens excessive in relation to local benefits, and suggested a substantial prospect that the scheme would fail that inquiry. Those views were his concurrence, not a Court holding that the statute violated the Commerce Clause; the issue remained for remand.

Justice Barrett, joined by Roberts, Kagan, and Kavanaugh, would have affirmed. She considered the consent label a means of evading *Goodyear*, *Daimler*, and *BNSF*. If a state could impose all-purpose jurisdiction merely by requiring registration, the at-home limitation would become avoidable by a legislative relabeling. She distinguished actual voluntary consent through contracts or litigation from a compulsory business condition. She also noted that Norfolk Southern's registration paperwork itself did not expressly promise jurisdiction, although the statute attached that consequence.

Barrett disputed the plurality's history and its analogy to *Burnham*. Personal service on an individual had both a long tradition and continuing general acceptance. She viewed unlimited registration jurisdiction as lacking that comparable foundation and as inconsistent with the modern rejection of fictional corporate presence. She also stressed due process's role in protecting the federal balance among states when a forum has no connection to the particular controversy. These objections explain the four-Justice dissent; they do not alter the five-Justice rejection of Norfolk Southern's due-process defense. *Jackson, Alito, and Barrett opinions*.

Notes

The binding result concerns due process and this express registration scheme. It neither overrules *Daimler's* at-home rule for jurisdiction based on contacts nor makes every registered corporation generally suable in every state. The content and authoritative construction of the particular state's statute remain essential. *BNSF* had expressly left consent undecided, so its rejection of jurisdiction based on tracks and employees did not resolve the issue presented here.

The opinion's voting structure also limits attribution. Five Justices agreed on application of *Pennsylvania Fire* and vacatur, while only four joined Gorsuch's entire historical and doctrinal explanation. Alito's Commerce Clause discussion identifies a potential obstacle left open by the 2023 decision. That reservation should be stated as the scope of this judgment, rather than as a claim about the outcome of any subsequent proceedings. The railroad-derailment scenario that opens Gorsuch's opinion is an illustration; Mallory's actual claim concerns alleged occupational exposure and cancer.